Assuming Agribusiness Coverage; 3tentos is Our Top Pick to Play One of Brazil's Most Vibrant Sectors

Ticker	Rating	FX	Last Px	TP	Upside
TTEN3 BZ	OP	BRL	10.9	18.00	65%
SOJA3 BZ	OP	BRL	11.9	20.00	68%
SLCE3 BZ	N	BRL	18.5	22.00	19%
SMTO3 BZ	N	BRL	27.5	32.00	17%
JALL3 BZ	OP	BRL	6.5	10.00	55%

Ticker	Mkt Cap $mn	3M ADTV US$mn	P/E 2025E	EV/EBITDA 2025E
TTEN3 BZ	5,429	11.7	11.1	7.7
SOJA3 BZ	1,604	8.5	6.3	4.4
SLCE3 BZ	8,150	40.3	9.8	8.0
SMTO3 BZ	9,241	45.2	9.7	3.5
JALL3 BZ	1,945	4.2	7.7	2.6

- We are assuming coverage of the Brazil Agribusiness sector with Outperform ratings on 3tentos (R$18/sh TP), Boa Safra (R$20/sh TP), and Jalles (R$10/sh TP), while we have Neutral ratings on SLC (R$22/sh TP) and São Martinho (R$32/sh TP).
- 3tentos is our Top Pick and the company with the greatest growth potential in our coverage (BBIe 2024-27 earnings CAGR of 24%, 6p.p. above the sector average), more than justifying the 11.1x P/E 25, at a 16% premium to the sector. ROIC should also return to 17% by 2027, 3.5p.p. above the sector, and that is before the current investment cycle fully matures.
- Boa Safra's normalized 6.3x P/E 25 makes it the cheapest stock in the sector (34% discount), although growth opportunities beyond that remain firmly in place. We believe weaker-than-initially-expected volumes this year are already priced in (8x P/E 24 is at a 17% discount to the sector), and delivering on our earnings expectations should be an important de-risking event.
- We project Jalles delivering a FY2025-28 EBIT CAGR of 7% as the turnaround of SVA matures, translating into a 29% discount to SMTO based on bottom-line multiples in FY2028. We see an attractive carryover as multiples contract, which should also be helped by elevated sugar prices and Jalles' increased sugar production mix.
- Our Neutral ratings on SLC and São Martinho are certainly not about the quality of the companies, but rather the lack of triggers in the near term. We see both companies offering high-single-digit FCFE yields in the next FY, which should limit the downside potential, but not necessarily translate yet into a stronger equity value proposition.

We expect grain and cotton prices to remain under pressure… With farming margins in recent years reaching all-time highs, Brazil's soybean, corn, and cotton planted areas should expand by 28%, 21%, and 18% between 2019/20-2024/25. This means that Brazil should explain 46% and 27% of the incremental global supply for soybeans and corn, and even more than that for cotton, and account for a good part of why prices should remain under pressure. Particularly for soybeans, the global stock-to-use (StU) ratio is expected to expand in the 2024/25 crop to the highest level record, even as planted area expansion slows down. Cotton and corn StUs, for their part, should remain flat.

… which could continue to limit the triggers for SLC. From strategic and execution standpoints, we view SLC's approach to the cycle as flawless. It has sustained a strong balance sheet (2024E leverage ratio of 1.7x) that should allow it to navigate cyclical lows without hampering its execution capacity, while also continuously expanding the planted area to capitalize in a future upcycle. Still, we believe lackluster soybean and cotton prices could limit the room for positive earnings revisions for the time being. Excluding investments in growth, we see SLC offering a 8% FCFE yield in 2025, which is quite healthy for a cycle low, but not necessarily enough to trigger stronger share price performance in the near term, in our view. We are assuming coverage of SLC with a Neutral rating and a YE25 TP of R$22/sh.

We would rather add exposure to the sector through 3tentos and Boa Safra, both of which are leveraged on the success of Brazilian agribusiness without being as exposed to commodity price swings, while also offering higher growth potential and returns. We see 3tentos as the company with the strongest growth in our entire coverage universe, while the resiliency of its retail-trading-industry business model has been reinforced in recent years. We expect the company to deliver a 2024-27 earnings CAGR of 24% with a 2027 ROIC of 17% even before the current investment cycle fully matures, which should more than justify the 11.1x P/E 25 at a 16% premium to the rest of the sector. We assume coverage of 3tentos with an Outperform rating and a YE25 TP of R$18/sh. As for Boa Safra, while we believe production constraints could bring 2024 soybean seed sales volume 12% below initial expectations, not only should this have no implications for volumes in 2025, but also the 8x and 6.3x P/E 24 and 25 the company trades at mean that this is already more than embedded in valuations. We assume coverage of Boa Safra with an Outperform rating and a YE25 TP of R$20/sh.

Henrique Brustolin
henrique.brustolin@bradescobbi.com.br
+55 (11) 97696-8487

Pedro Fontana
pedro.fontana@bradescobbi.com.br
+55 (11) 98923-0868

Sugar S-D remains tight, while near-term asymmetry to ethanol prices also looks positive. The commodity backdrop for sugar is different, where we see a 2mn ton deficit in the 2024/25 season and a structurally-tighter market as Brazil and India both now possess more limited capacity to bring additional supply to market. Over the past month, sugar price has risen 18% due to recent fires in Brazil and frustrations in the country's sugar mix maximization. We also see a positive environment for ethanol prices during the intercrop season, as tight domestic S-D could bring prices above the 70% parity with gasoline (currently at 65% in SP) to cool off demand, but gasoline already at a slight premium to IPP limits the upside for the 2025/26 season, in our view.

São Martinho should benefit from the S&E price backdrop, but Jalles' micro story makes it our preferred S&E play. We see São Martinho offering a 9% FCFE yield for FY2026, which looks solid but already embeds sugar prices 9% above the future curve at c22.5/lb, meaning that visibility on further upward revisions is currently limited. We are assuming coverage with a Neutral rating and a FY26 TP of R$32/sh. Still, the possibility of sugar and ethanol prices rising during Brazil's Center-South intercrop season does leave us with a positive near-term bias. As for Jalles, recent investments have also made the company a clearer beneficiary of higher raw sugar prices (FY2026e sugar mix of 56%, vs. 37.5% in FY2024), but its equity story remains mostly about the turnaround of the Santa Vitória mill, making it one of the few growth stories in the Brazilian S&E space. We see the company delivering a FY2025-28 EBIT CAGR of 7%, which would translate into a 29% discount to SMTO based on bottom-line multiples in FY2028. We are assuming coverage of Jalles with an Outperform rating and a FY26 TP of R$10/sh.

Table of Contents

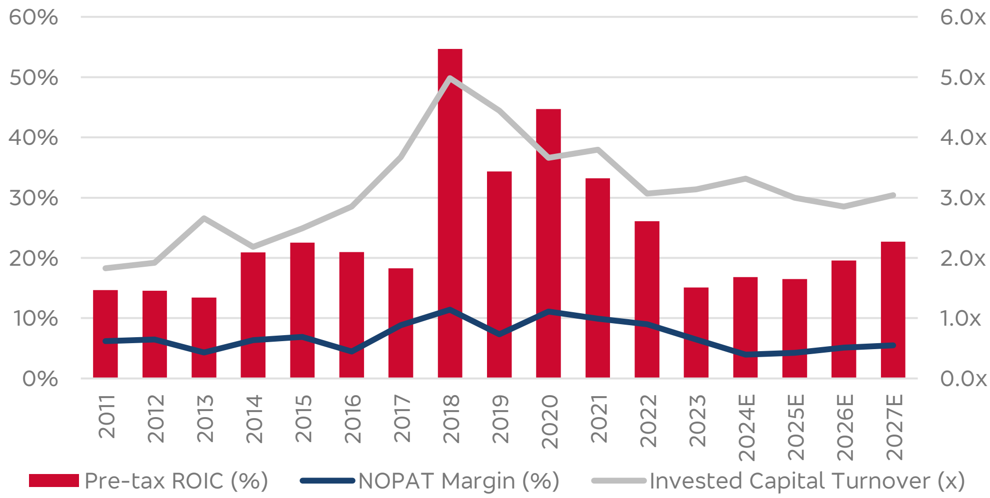
	Country	Market Cap (USD mn)	Rating	Target Price	Stock Price	Upside (%)	EV/EBIT 2024	EV/EBIT 2025	EV/EBIT 2026	P/E 2024	P/E 2025	P/E 2026	EPS CAGR 24-26
Agribusiness Players													
3Tentos	BZ	998	Outperform	18.0	10.9	65%	10.1	8.8	6.4	12.3	11.1	8.3	22%
Boa Safra	BZ	295	Outperform	20.0	11.9	68%	5.7	4.7	4.0	8.0	6.3	5.6	20%
Jalles Machado	BZ	357	Outperform	10.0	6.5	55%	8.7	7.7	7.1	14.1	7.7	6.0	53%
São Martinho	BZ	1,698	Neutral	32.0	27.5	17%	8.4	7.8	7.6	10.6	9.7	8.5	12%
SLC Agrícola	BZ	1,498	Neutral	22.0	18.5	19%	8.8	7.8	7.7	9.0	9.8	9.1	-1%
Adecoagro	AR	1,184	-	-	11.4	-	5.4	6.0	5.9	6.3	7.5	10.9	-24%
BrasilAgro	BZ	482	-	-	25.6	-	9.2	12.3	8.5	9.6	14.9	11.5	-9%
Agribusiness Average		**919**					**8.1**	**7.8**	**7.0**	**9.7**	**9.7**	**9.0**	**2%**
F&B Players													
JBS	BZ	13,471	Outperform	46.0	33.1	39%	7.1	7.8	8.3	8.1	8.3	8.2	-1%
BRF	BZ	7,377	Neutral	22.0	23.9	-8%	7.6	8.6	9.1	11.9	13.7	12.8	2%
Marfrig	BZ	2,297	Neutral	15.0	13.8	9%	9.5	10.9	9.7	6.4	15.9	12.2	-12%
Ambev	BZ	39,726	Neutral	13.0	13.7	-5%	9.8	9.2	8.3	14.5	13.8	12.7	7%
Camil	BZ	540	-	-	8.4	-	7.9	7.4	6.8	8.7	8.1	-	-
M.Dias	BZ	1,630	-	-	26.2	-	8.2	6.6	5.8	10.9	9.5	8.7	12%
F&B Average		**13,965**					**8.9**	**8.8**	**8.4**	**12.4**	**12.5**	**11.6**	**4%**

3tentos: A Compounding Story in the Making (OP, R$18)

Retail-trading-industry integration adds up to more than the sum of its parts

3tentos' integrated retail-trading-industry business model is at the core of the company's differentiated positioning in the sector, and, we believe, has allowed it to deliver high growth rates and returns over the years. Between 2011-24E, 3tentos' revenues and EBITDA should grow at 29% and 25% CAGRs, respectively, while its ROIC should average 26%.

Figure 2 - 3Tentos' ROIC averaged 26% since 2011



Source: Company Information and Bradesco BBI

We believe holding these three operations in an integrated manner helps secure synergies that make them all more competitive than operating them on a standalone basis.

The ag input retail business is about: (i) providing technical assistance to farmers, helping them more efficiently cultivate their land; (ii) providing last-mile logistics to companies that produce fertilizers, crop protection, and seeds; and (iii) offering credit solutions for farmers, in what is a working-capital-intensive business.

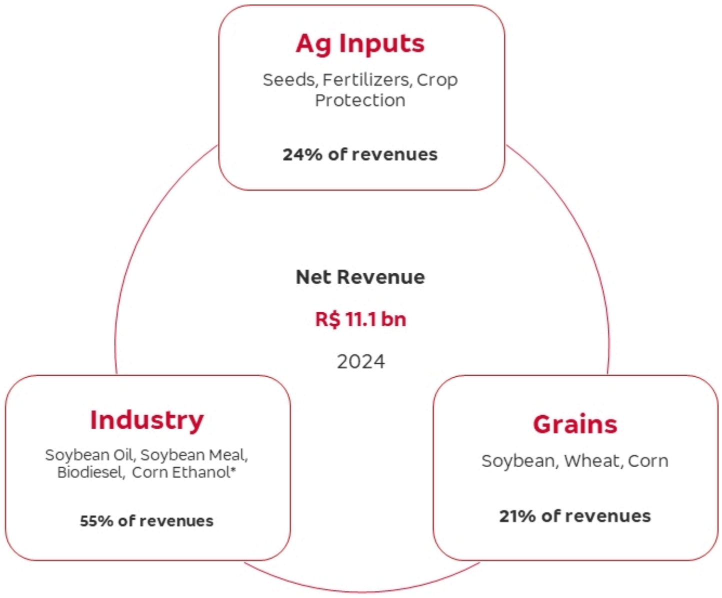
Since farmers often buy inputs through the exchange of grains to be harvested in the upcoming crop (barter), 3tentos naturally developed a grain trading business to commercialize the grains that were originated through the retail business. While this is a common practice in the industry, 3tentos went beyond, not only sourcing grains through barter agreements, but also actively offering to purchase more of their customers' production.

We believe this increases the company's proximity to its customers, where in many instances 3tentos not only offered the inputs that farmers needed, but also became their main channel for commercializing the grains. This additional touch point with clients helped enhance the retail business' competitiveness, while the capillarity provided by the retail operation also helps secure competitive origination of grains. We also believe this relationship helps mitigate credit risk for 3tentos, due to both the proximity it has with farmers (which will also depend on the company's retail business to acquire inputs for the next crop year), as well as the capacity to have farmers' grains stored in its own siloes before they are commercialized.

And then comes the industry, which adds value to the grains that would have been originated either way. The capillarity provided by the company's retail operation that allows grains to be sourced directly from farmers solves the two main challenges for a soybean crushing plant: (i) having enough feedstock to run the plant year-round, and (ii) originating feedstock in a cost-competitive manner so that crushing margins are maximized. Since 3tentos has the capacity to add value to part of the soybeans that its retail customers produce, its willingness to be their offtaker is further enhanced.

In sum, the sale of ag inputs helps with the acquisition of grains, the willingness to buy grains helps with the sale of ag inputs, and the industry adds value to the grains that are originated in the process.

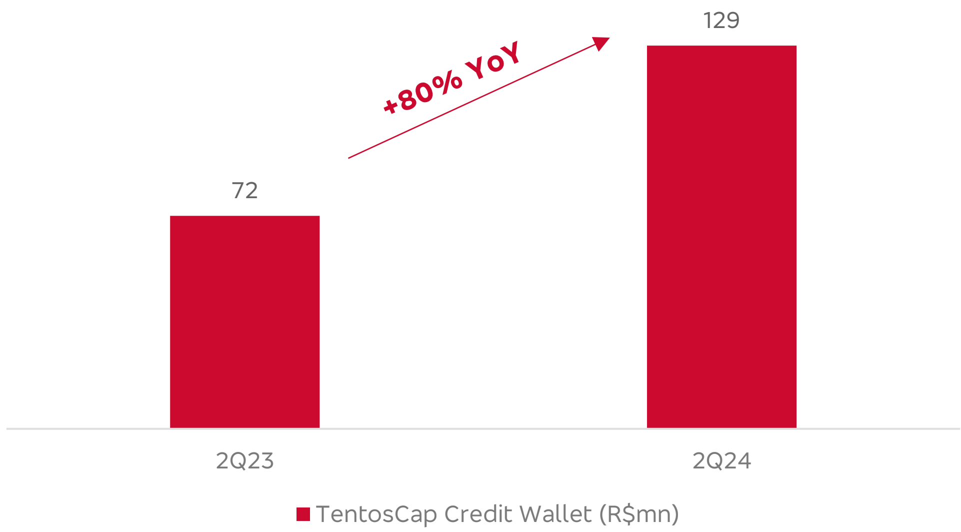
Figure 3 - 3Tentos' integrated retail-trading-industry business model helps secure synergies among its different business units



Source: Company Information and Bradesco BBI

There is an incipient fourth pillar to 3tentos' business model which is TentosCap. Given the company's proximity to its clients, 3tentos is arguably in a unique position to provide additional credit and financial solutions to them while properly managing risk. We currently treat TentosCap as an optionality, but we do see room for it to further enhance the relationship 3tentos has with customers, reinforcing the strength of its business model as a whole. In 2Q24, TentosCap's credit portfolio had reached R$129mn, up 80% YoY.

Figure 4 - TentosCap credit wallet has seen a solid growth in the past year



Source: Company Information and Bradesco BBI

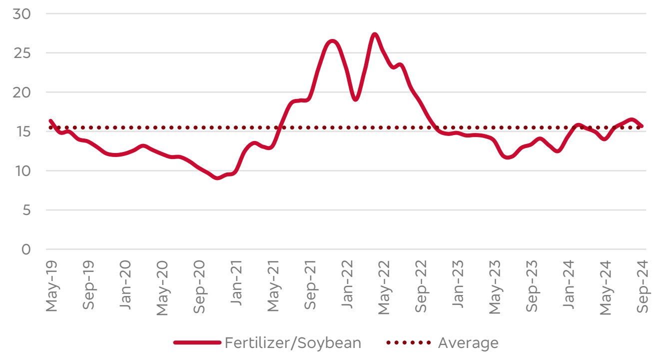
Stress tests navigated; resilience of the business model proven

There were three main pushbacks related to 3tentos' business model raised by investors during its IPO back in 2021: (i) how exposed the company's results are to grain prices (which at the time were at multi-year highs); (ii) how changes to the biodiesel blending mandate could hurt 3tentos' industry margins; and (iii) what the credit risk exposure is to potential crop shortfalls .

In the ensuing years, all of these risks have materialized (and even some additional ones). Given that the company was at the same time expanding to Mato Grosso state and many of these headwinds occurred simultaneously, it is difficult to pinpoint their standalone impacts. 3tentos' results did frustrate expectations on the back of these issues, but we believe the business model's resilience has been proven, while earnings quality has also remained strong.

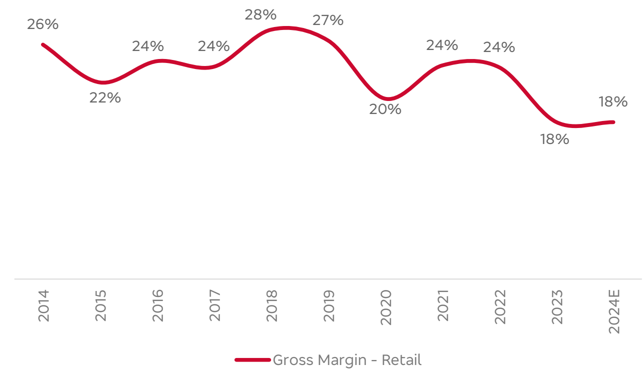
On the exposure to grain prices, we understand the retail business to be the most correlated to it, but mainly in the medium to long term. Ag input prices tend to converge to relatively constant terms of trade to soft commodity prices, reflecting the incentives farmers have (or not) to increase investments in their crops and expand the planted area. Since ag input retailers tend to apply a fixed markup on top of input prices, gross margin does not tend to swing much, and higher ag input prices should therefore result in higher gross profit in nominal terms.

Figure 5 - Fertilizer vs. soybean terms of trade has returned to pre-pandemic levels in Brazil



Source: Blooomberg, CEPEA and Bradesco BBI

Figure 6 - 3tentos applies markups on input prices in its retail business, thus benefitting when prices are higher



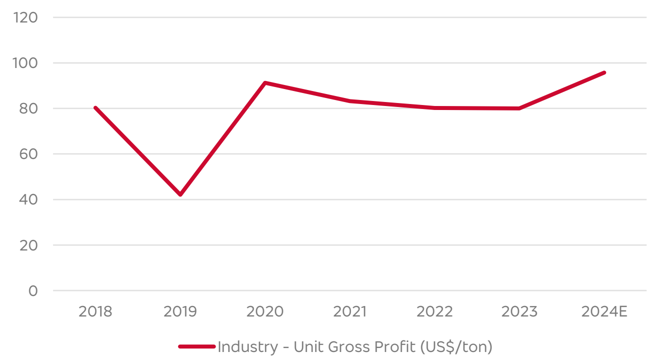
Source: Company Information and Bradesco BBI

On the other hand, we understand trading and industry to be spread-based businesses, whereby 3tentos captures a unit margin (R$ or US$ per ton) based on the volumes of grains commercialized and crushed. This means that results in these BUs should not change solely based on grain prices being higher or lower.

Regarding the exposure to biodiesel mandates, it is true that greater biodiesel blending should help increase crushing margins, but the bulk of 3tentos' results in this business unit comes from the spread between soybean meal and oil prices to the soybean feedstock, rather than the incremental production of biodiesel from soybean oil. If biodiesel prices do not incentivize its production, 3tentos always has the option to simply commercialize its production as soybean oil (which it has ended up doing in recent years).

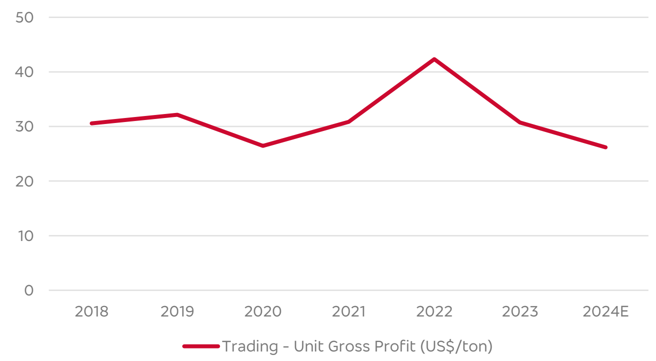
Since its 2022 highs, soybean, soybean meal, soybean oil, and biodiesel prices declined by 41%, 16%, 38%, and 29%, respectively. The biodiesel blending mandate was reduced from 13% to 10%, at the same time that Rio Grande do Sul state faced a soybean crop failure of over 50%, which also caused 3tentos to originate grains from more expensive sources. Even as all this was happening, the company's industry margins declined just from US$91/ton in 2020 to US$80/ton in 2023. In fact, 3tentos' unit gross profit per ton in both the industry and trading BUs has proven quite stable over the past years despite the significant commodity price volatility.

Figure 7 - 3tentos' unit gross profit per ton in both the industry and...



Source: Company Information and Bradesco BBI

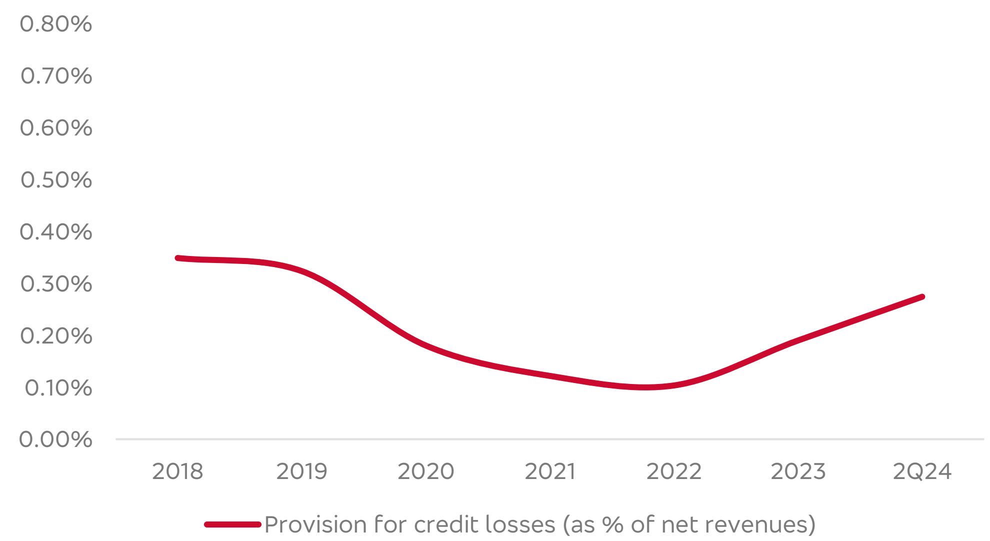
Figure 8 - ... trading BUs has been quite stable over the years despite the commodity price volatility



Source: Company Information and Bradesco BBI

As for credit risk, Rio Grande do Sul state had a 56% (or 11.7mn tons) failure in its 2021/22 soybean crop and another 37% (or 7.8mn tons) failure in 2022/23, which caused 3tentos to extend payment terms, although defaults remained quite limited. This reinforces our view that 3tentos' proximity with its customers (being one of the main purchasers of their grain production), the storage services that the company provides, and the guarantees that are required before extending credit lines in the retail business all help mitigate the credit risk to which the company is naturally exposed.

Figure 9 - Provisions for credit losses remained under control even amid severe crop failures in RS state

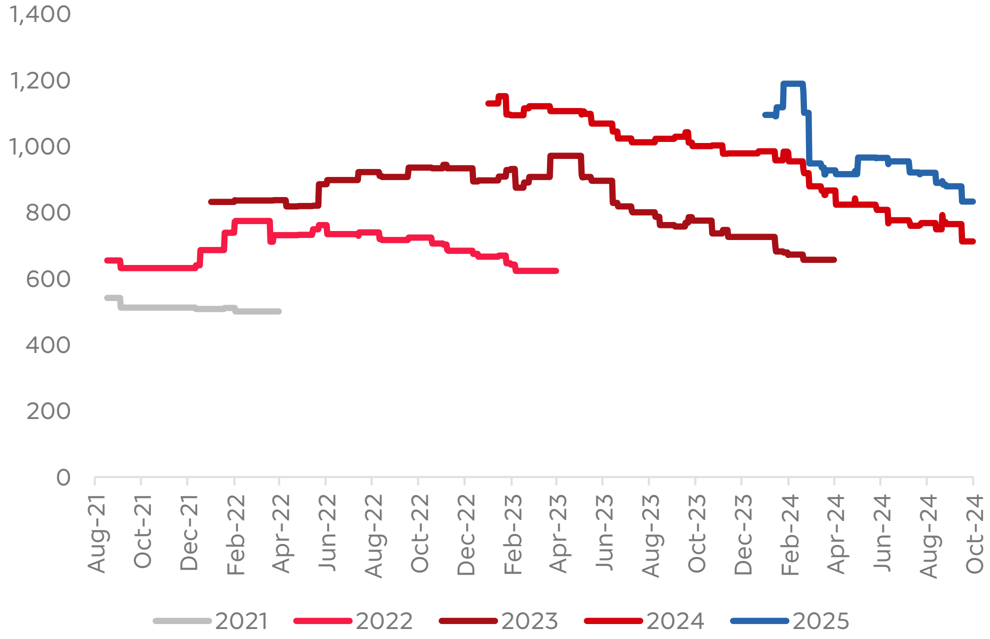


Source: Company Information and Bradesco BBI

Mato Grosso profitability questions increasingly addressed

3tentos' marginal returns in the expansion to Mato Grosso state have also been a major topic of discussion among investors, and arguably frustrated the market's initial expectations. Amid an industry backdrop that was also unfavorable, consensus' EBITDA has been revised down over the past 3 years.

Figure 10 - EBITDA has consistently frustrated consensus' expectations, but we believe the room for additional downward revisions is now limited



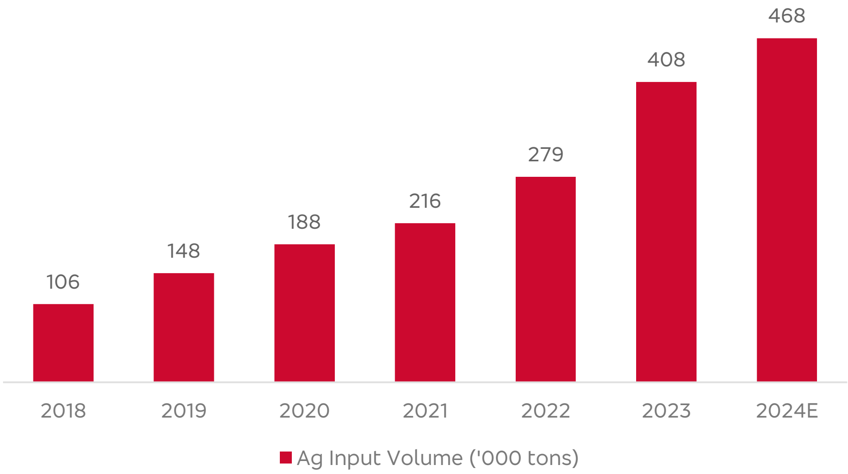
Source: Bloomberg and Bradesco BBI

In the retail segment, 3tentos currently has 11 stores is Mato Grosso (of a total of 68), the majority of which in the BR-163 region. Our view is that not only did the sharp decline in input prices hurt margins, but also that the competitive landscape in the BR-163 region, including the larger size of farms there, has driven a tighter margin profile for the business. The fact that 3tentos is still in the early stages of its maturity curve in the state is possibly also behind it.

We expect 2024 to continue to be impacted by that, as well as a poorer product mix in Rio Grande do Sul, where seed production may have been compromised – we model for a flat 17.6% gross margin in the division (4pp below its historical average).

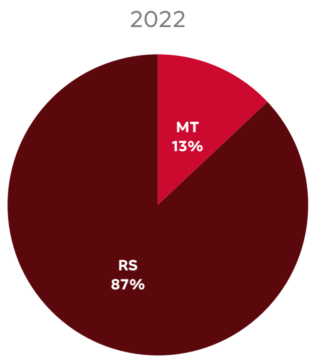
Still, from an earnings quality standpoint, results have been solid. 3tentos has not only navigated a difficult industry landscape with profitability levels that outperformed peers, but it has also been growing significantly more than the market (fertilizer, crop protection, and seed volumes combined in 2023 were 118% above 2020), while properly managing credit risk. Mato Grosso currently accounts for 21% of the company's retail sales, up from 13% in 2022. We model for a gross margin in the retail segment that will remain pressured in the near term (BBIe 2025E 19.5%, vs. 21.7% historically), but as stores mature and the geographical footprint changes, we see room for that to improve over time while growth should also continue.

Figure 11 - 3Tentos' ag input volumes have more than doubled in 3 years



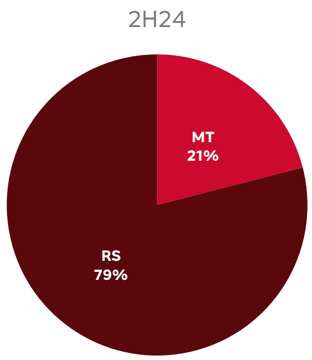
Source: Company Information and Bradesco BBI

Figure 12 - Retail sales coming from Mato Grosso state jumped from 13% in 2022...



Source: Company Information and Bradesco BBI

Figure 13 - ... to 21% in 1H24, and, as its stores mature, there should be room for a lot more

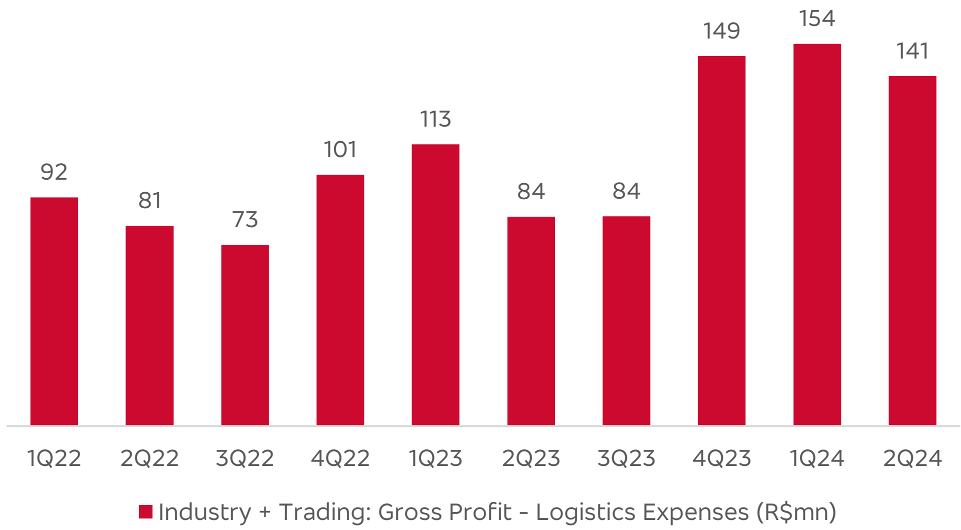


Source: Company Information and Bradesco BBI

Other than that, the growth in soybean crushing and grain trading in Mato Grosso also came with significant expansion in selling expenses associated with the logistics of shipping grains and soybean meal from the state to ports to be exported. While this is obviously part of the business, and higher logistics costs should ultimately be passed on to farmers, the trade-off between a stronger gross margin due to the cheaper farmgate grain origination in Brazil's countryside vs. higher selling expenses was not something we believe was fully embedded in market expectations.

Since 3tentos does not disclose results for its operations broken down by state, it is difficult to pinpoint exactly how profitability in the Mato Grosso soybean crushing and grain trading businesses has in fact been performing. But, to some extent, recent quarters have served to somewhat mitigate concerns that stemmed from that. Including hedges, the combined gross profit expansion in both BUs has outpaced the expansion in logistics expenses, signaling to the contribution from the growth in both businesses.

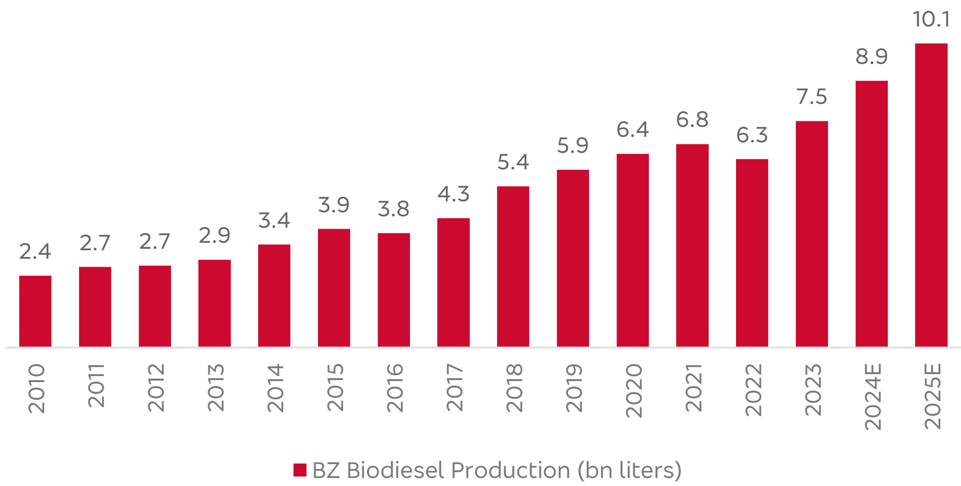
Figure 14 - The expansion in industry and trading gross profit has outpaced the pick up in logistics expenses



Source: Company Information and Bradesco BBI

We believe that logistics bottlenecks in 2023 provided some additional headwinds for the company, which should not be present this year. 3tentos is also investing to develop a new export terminal in Brazil's Northern Arc, which we believe should make its soybean meal exports out of Mato Grosso state more competitive. In addition, biodiesel blending expanding to 14% this year, 15% in 2025, and potentially reaching 20% by 2030, as provided for in the "Fuel of the Future" law, should help drive stronger crushing margins.

Figure 15 - The biodiesel market in Brazil will reach a record high in 2024, and higher blending mandates should allow it to keep growing

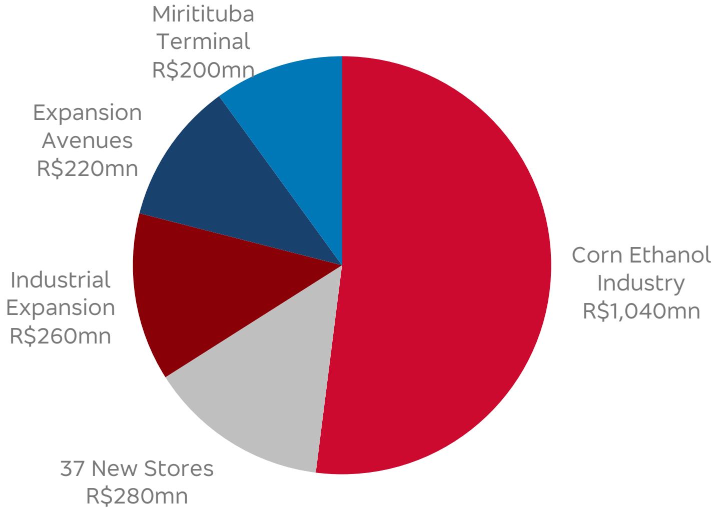


Source: Abiove and Bradesco BBI

Growth potential looms

3tentos announced a new growth plan earlier this year that includes R$2bn in total investments, 73% of which concentrated in 2024-25, seeking to: (i) build a corn ethanol plant in Vale do Araguaia, eastern Mato Grosso state, to start operations in 2026 with crushing capacity of 2.5k tons of corn per day; (ii) expand the retail store base to 100 by 2030, which also includes securing a stronger foothold in the Vale do Araguaia region and replicating its retail-trading-industry business model there; (iii) expanding the 3 soybean crushing plants to a combined capacity of 10.5k tons per day (from 6.6k tons); (iv) increasing seeds and fertilizer production capacity; and (v) developing a new logistics and storage structure in the Northern Arc through a JV with Caramuru.

Figure 16 - 3Tentos announced a R$2bn investment plan for the 2024-2030 cycle

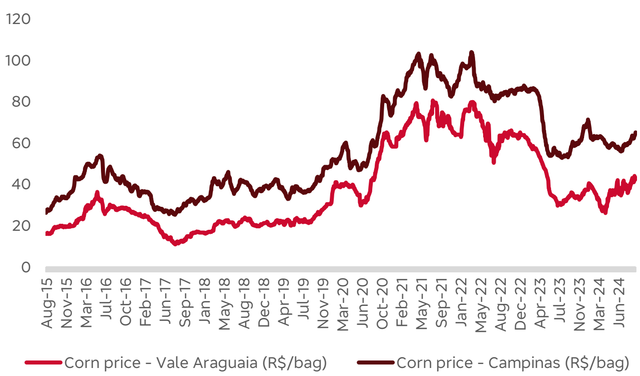


Source: Company Information and Bradesco BBI

We have a positive view on 3tentos' corn ethanol growth ambitions. While the implied investment of R$3.7/liter looks low relative to other projects that have been announced in recent years, the capacity to originate corn at discounted farmgate prices in the region should make for highly cost-competitive ethanol production, despite likely being partially offset by logistics expenses associated with exporting ethanol to other consumer hubs.

Over the past 9 years, corn prices in the Vale do Araguaia region have had a 36% discount to Campinas (São Paulo state). Assuming that DDGS covers ~35% of corn costs in the region (in line with other corn ethanol mills), we estimate ethanol production cost would currently stand at ~R$1.33/liter (based on the 2023/24 season corn price), vs. ~R$2.4/liter for some benchmark Brazilian S&E mills. Hydrous ethanol pump prices in Mato Grosso currently stand at a 6% discount to São Paulo, but even assuming a steeper 10% discount at the mill level we estimate the corn ethanol gross margin would stand at an attractive R$0.97/liter.

Figure 17 - Corn prices in Vale do Araguaia have historically had a 36% discount to Campinas...



Source: Bloomberg and Bradesco BBI

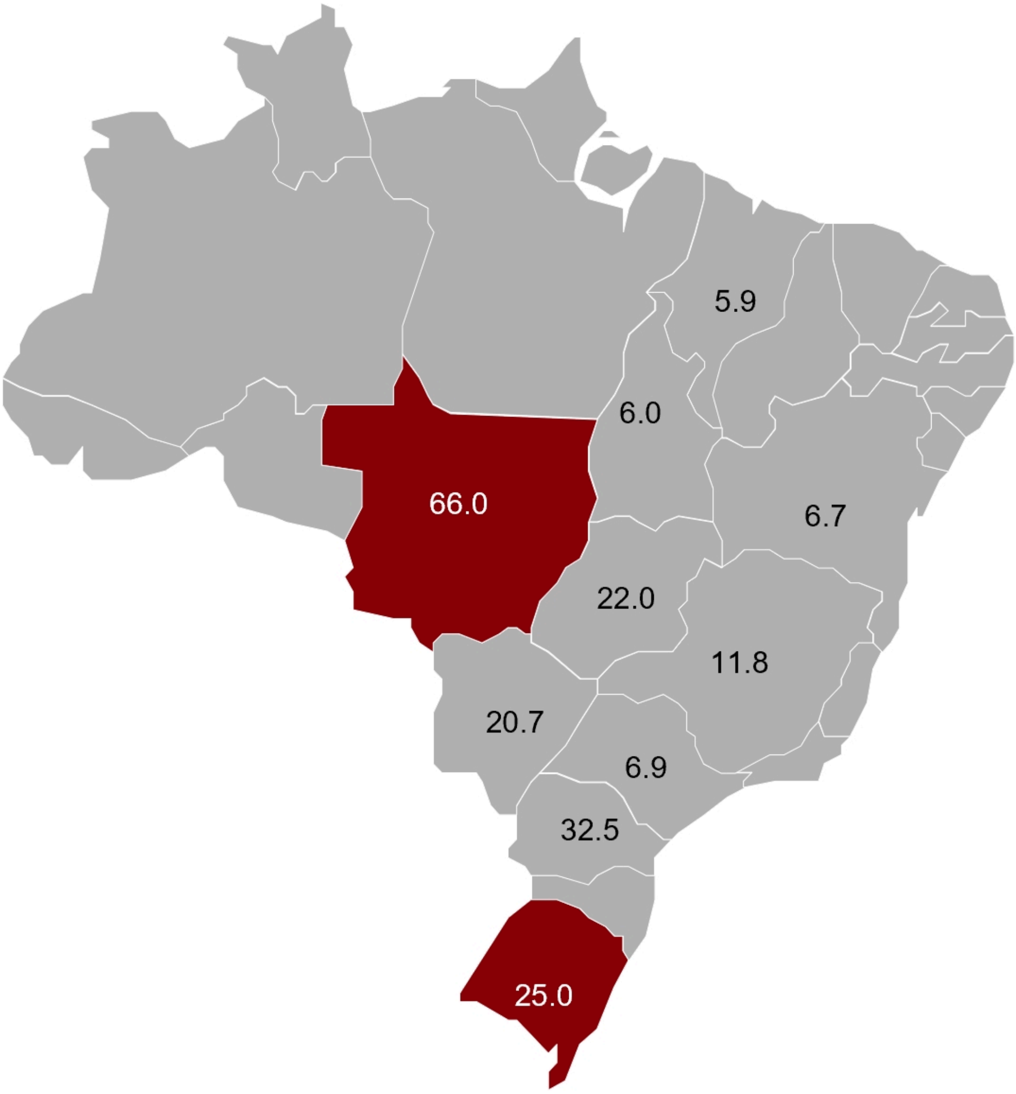
Figure 18 - ... which is key to ensure profitability in the corn ethanol business

Corn Ethanol - Production Cost & Margin		
Corn price (MT)	R$/bag	36.1
Other costs	% total costs	25%
DDGS coverage	% of corn cost	35%
Ethanol yield	l/kg of corn	0.445
Corn cost	R$/liter	1.35
Other costs	R$/liter	0.45
DDGS coverage	R$/liter	(0.47)
Ethanol Cost	**R$/liter**	**1.33**
Ethanol price (SP)	R$/liter	2.560
Assumed MT discount	%	10%
Gross Profit	**R$/liter**	**0.97**

Source: Bloomberg and Bradesco BBI

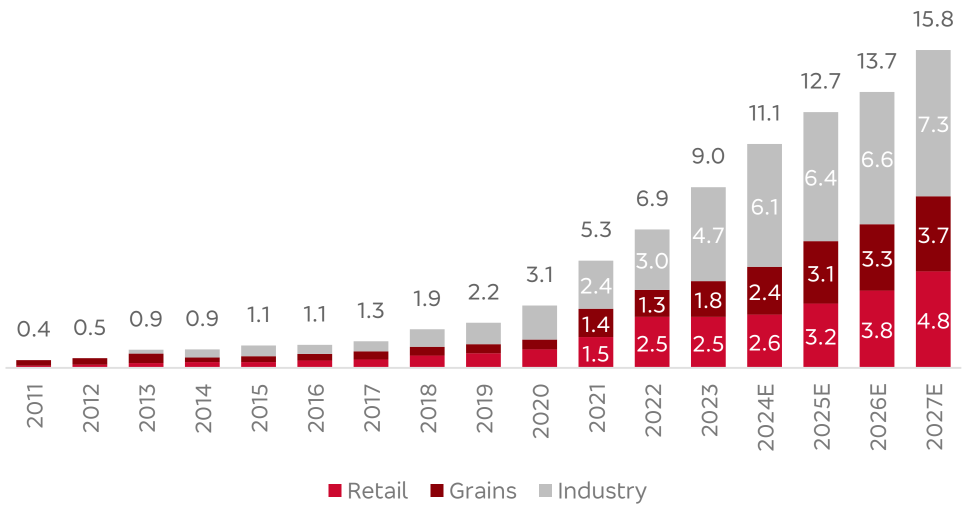
In addition, all of 3tentos' BUs should continue to benefit from growing planted area in the Vale do Araguaia region. Going forward, as this investment cycle matures, the addressable market for 3tentos to continue expanding its footprint into new frontiers also remains very much in place.

Figure 19 - 3tentos is currently positioned in 2 states with a combined ag input addressable market totaling R$91bn; the opportunity to expand to other states also remains in place



Source: Company Information and Bradesco BBI

Figure 20 - As the current investment cycle matures, we expect 3tentos to deliver a 2024-2027 revenue CAGR of 14%



Source: Company Information and Bradesco BBI

Top-notch execution and growth more than justify the 11.1x P/E 25 at a premium to the sector

We are assuming coverage of 3tentos with an Outperform rating and a YE25 TP of R$18/sh, implying 20.3x and 18.4x P/E 2024 and 2025 at target, respectively. We are embedding most of 3tentos' volume guidance and growth plans into our estimates, and, as the current investments mature, we see the company delivering a 2024-27 earnings CAGR of 24%, leading to trading P/E 2026 and 2027 of 8.3x and 6.4x, respectively. This looks unwarranted for a company with 3tentos' track record and growth that should continue beyond that. Even as the company navigates the investment cycle, we see the leverage ratio peaking at a still comfortable 1x in 2025. With its unique business model that encompasses the agribusiness value chain from the upstream to the downstream, we believe 3tentos has the clearest potential to become a compounder within our coverage universe.

Figure 21 - 3Tentos - BBI vs. Consensus (R$mn)

TTEN3	2024 BBIe	2024 Street	2024 vs. Street	2025 BBIe	2025 Street	2025 vs. Street
Net Revenue	11,147	10,557	6%	12,731	12,415	3%
EBITDA	650	712	-9%	802	833	-4%
EBITDA margin	5.8%	6.7%	-0.9pp	6.3%	6.7%	-0.4pp
Net Income	441	492	-10%	487	509	-4%
Net Margin	4.0%	4.7%	-0.7pp	3.8%	4.1%	-0.3pp

Source: Bloomberg and Bradesco BBI

Figure 22 - 3Tentos - Income Statement

Income Statement - R$mn	2023A	2024E	2025E	2026E
Net Revenue	**8,999**	**11,147**	**12,731**	**14,164**
COGS	-7,769	-9,389	-10,625	-11,685
Change in fair value	16	388	0	0
Gross Profit	**1,246**	**2,146**	**2,106**	**2,479**
Gross Margin	*13.8%*	*19.3%*	*16.5%*	*17.5%*
SG&A	-804	-1,214	-1,406	-1,506
Operating Income	**442**	**932**	**700**	**973**
Operating Margin	*4.9%*	*8.4%*	*5.5%*	*6.9%*
Net Financial Results	-13	-191	-67	-100
Pre-tax Income	**429**	**741**	**633**	**873**
Net Income	**574**	**578**	**487**	**653**
Net Income Margin	6.4%	5.2%	3.8%	4.6%
Net Income Adj.	**551**	**441**	**487**	**653**
EBITDA Adj.	**491**	**650**	**802**	**1,086**
EBITDA Adj. Margin	5.5%	5.8%	6.3%	7.7%

Source: Company Information and Bradesco BBI

Figure 23 - 3Tentos - Balance Sheet

Balance Sheet - R$mn	2023A	2024E	2025E	2026E
Current Assets	4,422	5,040	4,937	5,284
Long Term Assets	477	416	416	416
Fixed Assets	1,985	2,700	3,511	3,843
PP&E	1,985	2,695	3,506	3,838
Total Assets	**6,884**	**8,156**	**8,865**	**9,543**
Total Liabilities	3,532	4,281	4,503	4,707
Minorities	0	0	0	0
Shareholders' Equity	3,352	3,875	4,362	4,836
Liabilities + Equity	**6,884**	**8,156**	**8,865**	**9,543**
Total Debt (IFRS16)	1,292	1,992	1,979	1,983
Cash & Equivalents	1,226	1,712	1,214	1,214
Net Debt	**66**	**280**	**766**	**770**
Net Debt/EBITDA	0.1x	0.4x	1.0x	0.7x

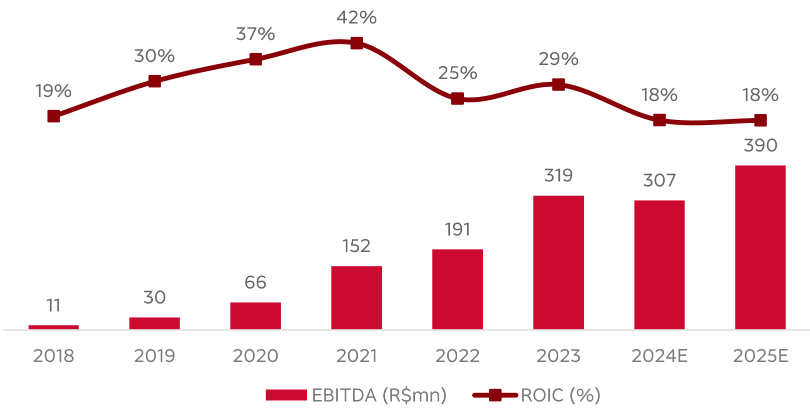
Source: Company Information and Bradesco BBI

Boa Safra: Value-Priced, Growth Included (OP, R$20)

The value of the asset-light business model

Boa Safra approaches soybean seed production with a differentiated and asset-light business model by outsourcing the need to own and operate the land, which is the most capital-intensive part of the value chain. Over the years, we believe that this has allowed for higher growth and returns. Between 2018-23, Boa Safra has delivered 46% and 96% revenue and EBITDA CAGR, respectively, while sustaining an average ROIC of 30%.

Figure 24 - Boa Safra sustained an accelerated pace of growth between 2018-2023, while maintaning ROIC at an average 30%



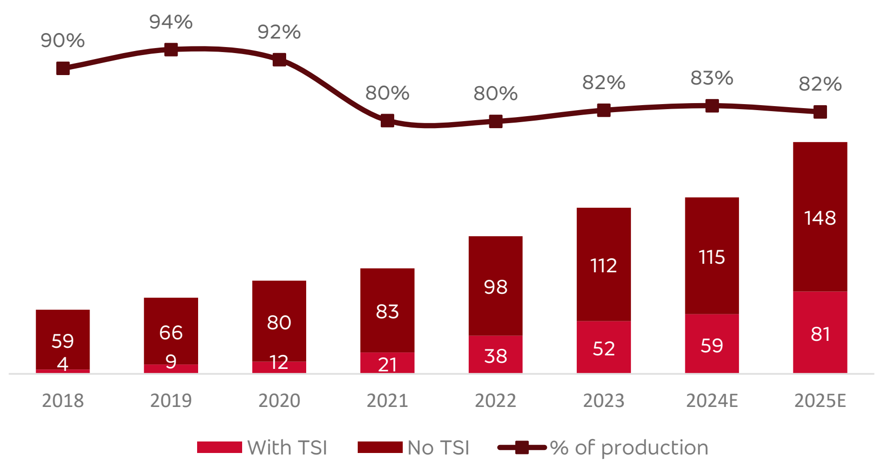
Source: Company Information and Bradesco BBI

But the room to deploy capital in high-return avenues rarely come without risks. In the case of Boa Safra, this stems from the fact that the company sources soybean grains from its integrated farmers at a premium to market prices, usually ranging from 8-10%. Since the grains that are industrialized but not sold as seeds will end up being "discarded" (i.e. sold at commodity prices), all else equal the premium price at which they were initially acquired would translate into a loss, not to mention industrialization, storage, and working capital financing costs. So strong returns for the company are directly correlated with an assertive commercial execution that ensures that Boa Safra can sell the majority of seeds it produces.

This is even more true as Boa Safra continues to pursue growth at a faster pace than the industry grows. We understand the company's retail-channel capillarity to be driven by a combination of: (i) a broad product portfolio, (ii) ample logistics reach through distribution centers, (iii) service levels, (iv) product quality, and (v) credit offerings, which despite intensifying Boa Safra's working capital requirements has been offset by the company's capacity to increasingly gain market share.

While soybean seed production has no barriers to entry per see, we believe combining all of these qualities at scale is difficult to be replicated. Since Boa Safra's 2021 IPO, when volume growth accelerated, the company has been selling on average 80-82% of the soybean seeds it produces, which compares to more than 90% previously, but unit economics in the period have improved. Thus, we believe returns could improve further once new capacity expansions ramp up.

Figure 25 - Boa Safra has been selling ~80% of its soybean seed production in recent years

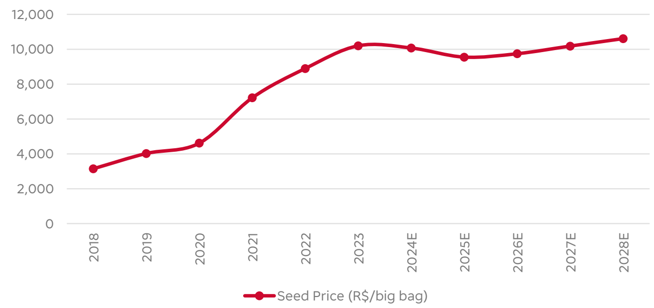


Source: Company Information and Bradesco BBI

In our view, product mix has been the main catalyst to elevate unit economics, as the company adopted strategic priorities focused on balancing both value extraction and volume growth. Between 2020-23, seeds bearing active biotechnology patents grew from 65% of sales to 97%, while industrially treated seeds (TSI) grew to represent 32% of the sales mix (+19p.p. in the same period). As more technology is in embedded in the seeds, prices have decoupled from soybean grains, also making Boa Safra's equity story less correlated with the cyclical patterns of the underlying commodity.

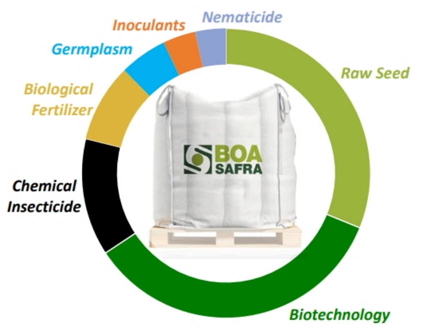
Currently, we believe that the soybean grain represents only ~25% of Boa Safra's average seed sale price, and, in 2023, the company's average gross price of R$10.2k/big bag (each big bag of seed weights, on average, 1 ton) was 15% higher YoY despite soybean prices falling 22% YoY in 1H23 (when most of the sales backlog occurs). As Boa Safra continues to foster TSI penetration in its sales mix, and new biotechnologies continue to be developed and brought to market (biotechnology royalties are not correlated with grain prices), we believe the company's realized seed price could continue to decouple from the underlying commodity.

Figure 26 - We expect resilient seed prices for Boa Safra, even as grain prices remain pressured



Source: Company Information and Bradesco BBI

Figure 27 - The soybean grain has lost relevance in the final seed price



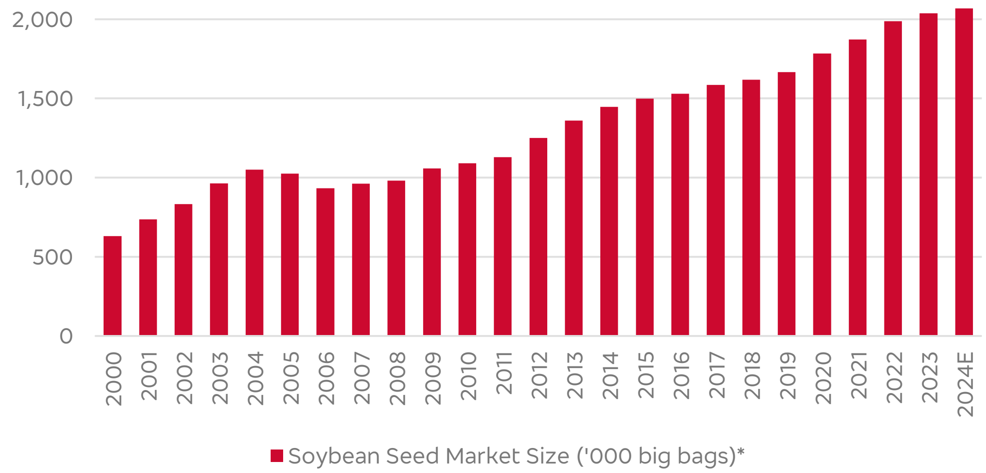
Source: Company Information

Operating in the most resilient link in the value chain

In recent years, agricultural input markets have experienced a series of challenges. A sharp decline in soft commodity prices have led to farmers facing strains on their profitability. Fertilizer prices and demand that had previously surged began to deteriorate once the terms of trade worsened, with prices falling dramatically. In addition, the crop protection market was particularly affected, with oversupply leading to even steeper drops in price. Additionally, biological products, once known for their high margins and growth rates are now facing intensified competition.

Amid these challenges, the soybean seed market has stood out as one of the most resilient segments in the sector. We believe that this resilience can be attributed to several factors: (i) soybeans remain Brazilian farmers' primary crop, generating the bulk of their income from grain production and translating into a steadily growing planted area; (ii) soybean seed inventory does not carry over from one planting season to the next, meaning that supply has to begin anew for each crop year; and (iii) advancements in seed technology have resulted in soybean grains constituting a smaller portion of the final seed price, thereby reducing the impact of commodity price fluctuations on sales values.

Figure 28 - Amid a volatile industry backdrop, the soybean seed market has stood out as one of the most resilient segments in the sector



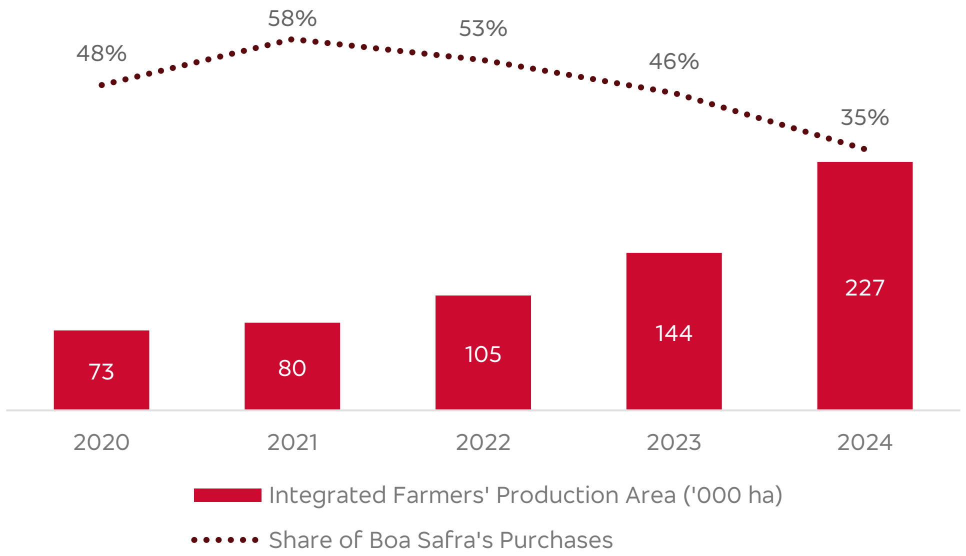
Source: Company Information and Bradesco BBI | *Commercial seed market assuming 18% saved seeds

A tougher year in the making, but not all bad news

We expect 2024 to be a tougher year for Boa Safra, mainly due to seed production volumes. With a troublesome beginning to the 2023/24 soybean planting season, and unfavorable rainfall when the harvesting season was due, we are not expecting Boa Safra to meet its 240k big bags of installed production capacity, despite the company's integrated farmers expanding their planted area by 58% YoY to 227k ha.

We are currently modeling that Boa Safra can produce 210k big bags of soybean seeds this year, which would be a milder 5% YoY expansion and 13% below our initial expectation. This implies that the company would source only an estimated 35% of its integrated farmers' total production vs. ~46% in 2023E, which, at least, we believe should mean that the seed quality will be preserved.

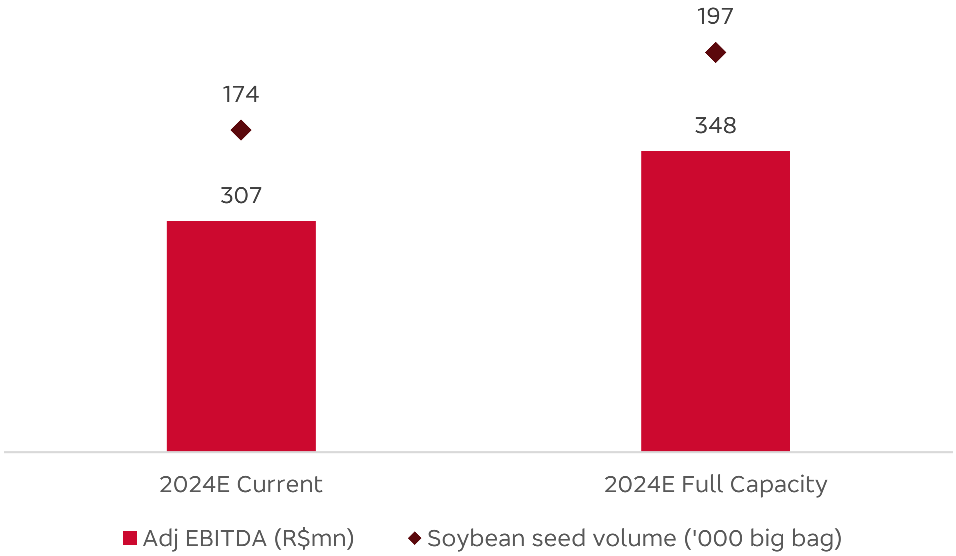
Figure 29 - Boa Safra should source only 35% of its integrated farmers' production this year



Source: Company Information and Bradesco BBI

But this outlook is not necessarily as bad as it may seem. From a margin standpoint, we do expect some impact from operational deleverage due to the lower-than-expected volumes, but not much beyond that. The main risk that Boa Safra incurs is buying grains from its integrated farmers at the 8-10% premium price and eventually not converting this origination into seed sales. We do not believe that this is the case this year, as the lower origination of soybeans is precisely what could lead to the lower production volumes.

Figure 30 - Lower-than-expected production volumes should cap EBITDA growth this year, but margins should remain resilient; Higher sales conversion could pose upside to our estimates, while the 2025 season should not be impacted



Source: Bradesco BBI

This also somewhat mitigates the risks of a delayed order book of R$1.2bn in July 2024 (flat vs. June 2023) when 2Q24's results were released. The main points to watch will continue to be the capacity for the company to now ramp up sales volumes, and how TSI penetration in its sales mix will evolve, although its increased seed treatment capacity and distribution reach may continue to help.

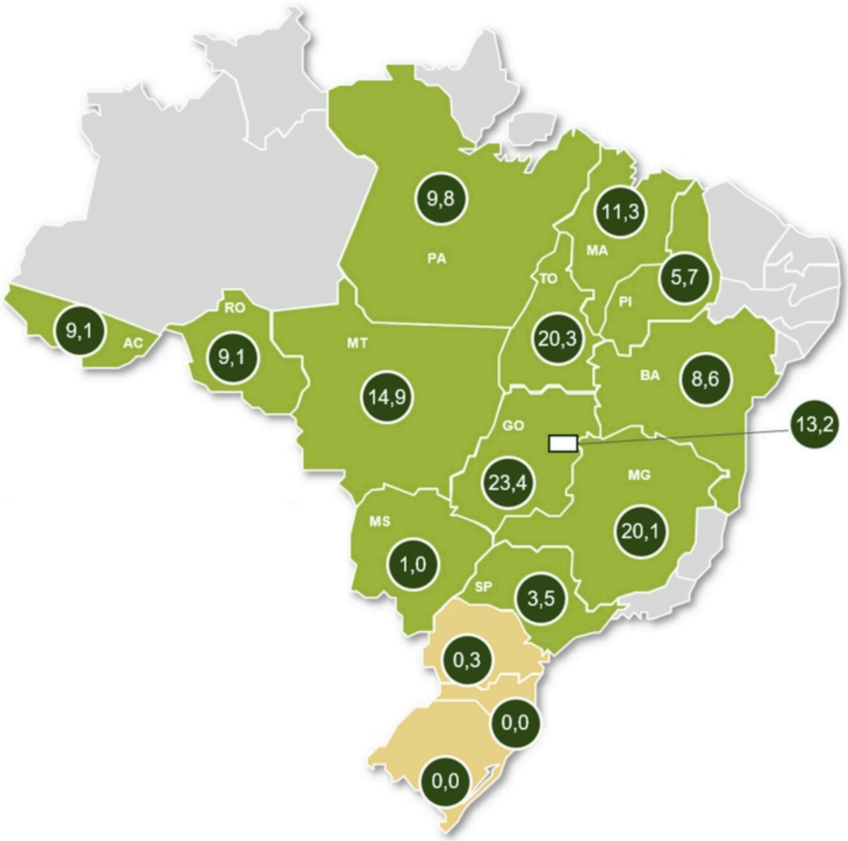
In addition, the same challenges that Boa Safra faced in its 2023/24 seed production season have been felt by a good part of its competitors. Lower total supplies may help sales volumes and even accelerate prices during 2H24, in our view. If the company's discard volumes contract further, margins may only suffer slightly.

Lastly, if we are right that the headwinds on 2024's earnings stem from production volumes only, expectations for 2025 should barely change. A new production season will begin in 2024/25, and with the planting and production currently expected to run more smoothly as the El Niño fades, Boa Safra reaching the expected 280k big bags of soybean seed production in 2025 should be well within its reach.

Growth opportunities also loom

The resilience of the soybean seed market does not imply the absence of challenges for Boa Safra's growth ambitions, particularly as the company plans to continue driving industry consolidation. Although Boa Safra holds an estimated market share of only 8% in the commercial soybean seed market, its penetration in the center-north region and its almost exclusive relationships with ag input retailers as a distribution channel is already higher.

Figure 31 - Boa Safra has a 15% and 23% share in the soybean seed market in Mato Grosso and Goias, above its national average

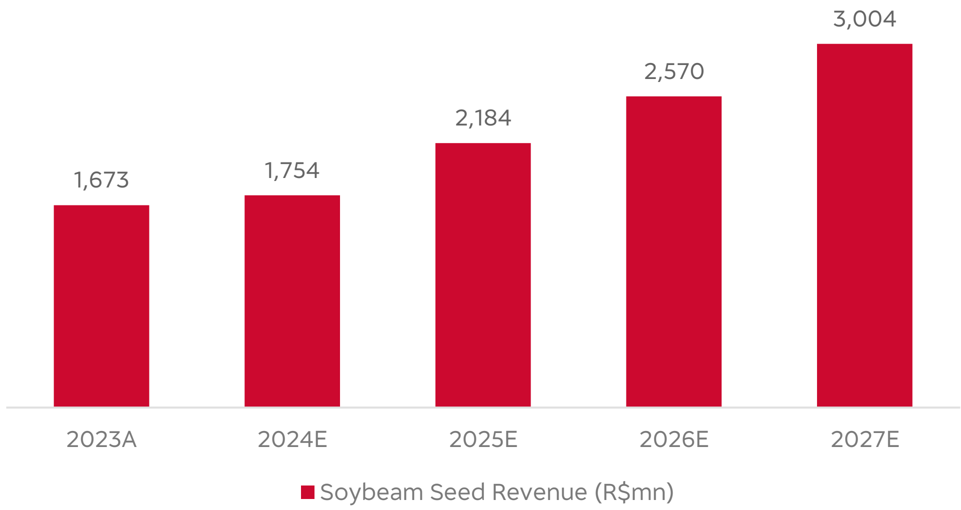


Source: Company Information and Bradesco BBI

Thus, Boa Safra's growth strategy should include venturing into new, previously unexplored markets. We see two primary opportunities for that: (i) expanding into the Southern region, where Boa Safra already has a foothold with a commercial team and white-label products, and (ii) pursuing strategic acquisitions akin to its move with DaSoja, which would allow Boa Safra to widen its product portfolio, introduce new brands, and diversify its distribution channel especially through increased direct sales. Also, the opportunity for inorganic growth regarding soybean seeds appears to be more in place than ever given a strong balance sheet, especially after this year's R$300mn follow-on offering, and potentially lower transaction multiples.

The company's growth plan for soybean seeds involves reaching a production volume of 360k big bags by 2027, implying a 20% CAGR from the impacted 2024E production volume. We do believe Boa Safra's execution warrants the benefit of the doubt that the company will be able to meet its goal, but we do not model for capacity expansions beyond that. Also, with an increased commercial effort towards driving a more profitable sales mix, we also assume that TSI will continue to gain penetration in the company's sales mix.

Figure 32 - We expect Boa Safra to grow soybean seed revenues at a 2024-27 CAGR of 20%

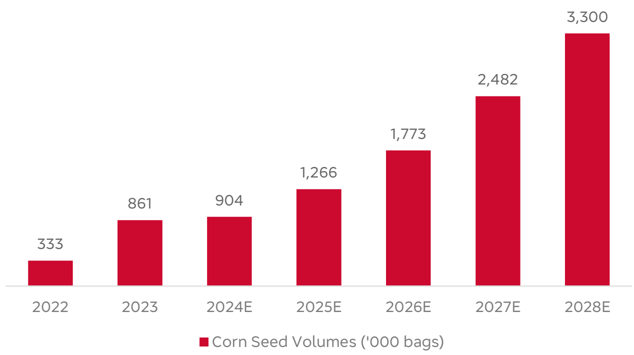


Source: Bloomberg and Bradesco BBI

Given our belief that Boa Safra's strong commercial execution and extensive distribution network are crucial to the growth and returns it has delivered in soybean seeds, it also seems strategically sound to diversify into other seed markets and capitalize on existing commercial synergies and assets. Inorganic growth within these markets could also be important opportunities.

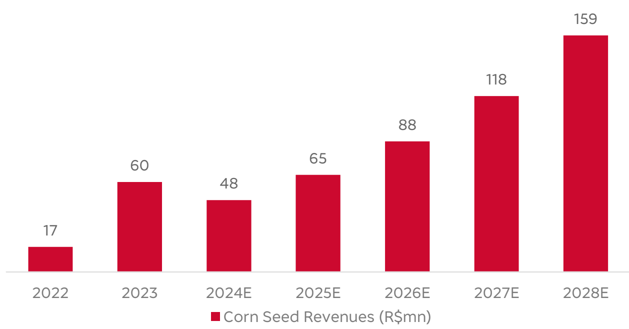
We see value in enhancing Boa Safra's role in corn tolling operations, eventually positioning the company as a major producer that could gain additional traction within other parts of the corn seed value chain. The downturn in the corn seed market due to a reduced planted area in the latest crop leads us to expect a milder pace of growth than the company's initial plan (BBIe 2027 tolling volume of 1.5mn bags vs. 3.3mn bags initially planned), but we continue to see growth in this segment as highly strategic.

Figure 33 - Corn seed volumes are below previous expectations...



Source: Company Information and Bradesco BBI

Figure 34 - ... but we expect them to accelerate in the coming years



Source: Company Information and Bradesco BBI

Other seed markets, including forage, sorghum, beans, wheat, and cotton, although smaller, could offer even more immediate commercial synergies, in our view, which we still mostly treat as an optionality.

Figure 35 - Expansion in new seeds to unlock an R$11bn addressable market

Growth Avenue	Adressable Market (Planted Area; '000 ha)	Adressable Market (R$bn)	Already in Backlog?
Corn Seed	21,017	7.6	Yes
Forage Seed	n.a	1.5	Yes
Bean Seed	2,776	0.2	Yes
Wheat Seed	1,418	1.4	Yes
Cotton Seed	3,473	0.6	No
Ag Input to Integrated Farmers	2,766	n.a	Yes
Logistics Services	n.a	n.a	Yes

Source: Company Information and Bradesco BBI

The cheapest valuations in the sector even under conservative growth and margin assumptions

We are assuming coverage of Boa Safra with an Outperform rating and a YE25 TP of R$20/sh, implying 13.5x and 10.7x P/E 2024 and 2025 at target, respectively. As the company leverages on its retail channel access, we believe growth opportunities in soybean, corn, and other seeds are well in place, although we still treat the expansion in all of these beyond 2027 as optionalities. In our view, this should still translate into a 2024-27 earnings CAGR of 18%, and with the stock trading at 6.3x P/E 2025, a 34% discount to the Brazilian agribusiness space as a whole, we do not believe that even the organic growth plan is embedded in current valuations. There is also a long-term optionality of Boa Safra improving unit economics as it scales up and enhances its strategic value within the value chain, which we also believe remains in place.

Figure 36 - Boa Safra - BBI vs. Consensus (R$mn)

SOJA3	2024 BBIe	2024 Street	2024 vs. Street	2025 BBIe	2025 Street	2025 vs. Street
Net Revenue	2,237	2,418	-7.5%	2,772	3,026	-8.4%
EBITDA	307	309	-0.5%	390	422	-7.5%
EBITDA margin	13.7%	12.8%	1.0pp	14.1%	13.9%	0.1pp
Net Income	200	201	-0.7%	253	263	-3.8%
Net Margin	8.9%	8.3%	0.6pp	9.1%	8.7%	0.4pp

Source: Bloomberg and Bradesco BBI

Figure 37 - Boa Safra - Income Statement

Income Statement - R$mn	2023A	2024E	2025E	2026E
Net Revenue	**2,079**	**2,237**	**2,772**	**3,260**
COGS	**-1,771**	**-1,839**	**-2,307**	**-2,710**
Gross Profit	**308**	**398**	**465**	**550**
Gross Margin	*14.8%*	*17.8%*	*16.8%*	*16.9%*
SG&A	-55	-81	-97	-114
Operating Income	**253**	**317**	**368**	**436**
Operating Margin	*12.2%*	*14.2%*	*13.3%*	*13.4%*
Net Financial Results	1	39	17	8
Pre-tax Income	**254**	**356**	**385**	**443**
Net Income	**302**	**236**	**253**	**289**
Net Income Margin	14.5%	10.5%	9.1%	8.9%
Net Income Adj.	**362**	**200**	**253**	**289**
EBITDA Adj.	**319**	**307**	**390**	**462**
EBITDA Adj. Margin	15.3%	13.7%	14.1%	14.2%

Source: Company Information and Bradesco BBI

Figure 38 - Boa Safra - Balance Sheet

Balance Sheet - R$mn	2023A	2024E	2025E	2026E
Current Assets	1,549	2,277	2,397	2,568
Long Term Assets	142	145	120	88
Fixed Assets	667	791	976	1,173
PP&E	665	789	974	1,171
Total Assets	**2,359**	**3,213**	**3,493**	**3,829**
Total Liabilities	886	1,218	1,273	1,322
Minorities	0	0	0	0
Shareholders' Equity	1,473	1,995	2,219	2,508
Liabilities + Equity	**2,359**	**3,213**	**3,493**	**3,829**
Total Debt (IFRS16)	864	1,276	1,276	1,276
Cash & Equivalents	585	1,226	1,146	1,138
Net Debt	**279**	**50**	**130**	**138**
Net Debt/EBITDA	0.9x	0.2x	0.3x	0.3x

Source: Bloomberg and Bradesco BBI

SLC: A Top Performer, at the Mercy of the Cycle (N, R$22)

A bear market for soft commodities...

We expect grains and cotton prices to remain low. With farming margins in recent years reaching all-time highs, Brazil's soybean, corn, and cotton planted areas should expand by 28%, 21%, and 18% between 2019/20-2024/25. This means that Brazil should explain 46% and 27% of the incremental global supply for soybean and corn, and even more than that for cotton, as production in some other markets declined. We expect the increased Brazilian supply, along with a strong 2024/25 US grain crop, to keep prices for the main soft commodities under pressure (we discuss this is in further detail in a following section).

Figure 39 - Soybean Prices (c/bu)

Source: Bloomberg and Bradesco BBI

Figure 40 - Corn Prices (c/bu)

Source: Bloomberg and Bradesco BBI

Figure 41 - Cotton Prices (c/lb)

Source: Bloomberg and Bradesco BBI

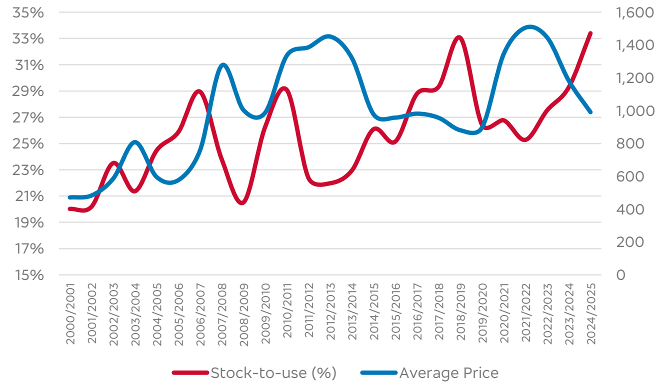
Figure 42 - Wheat Prices (c/bu)

Source: Bloomberg and Bradesco BBI

... even if additional downside to prices may be limited

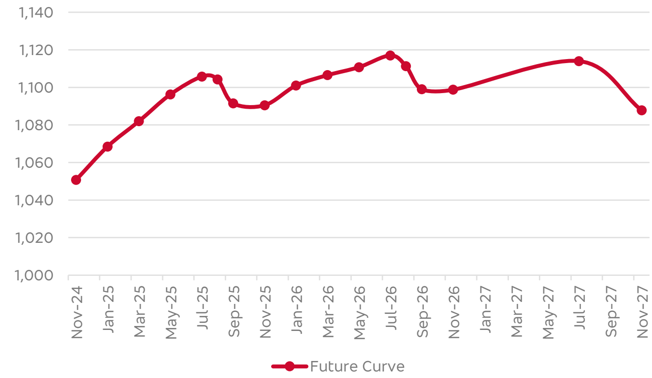
With tighter farming margins, the incentives to continue expanding the planted area should be rather limited now. Soybeans have the most bearish outlook among grains, as yield recovery in Brazil and greater planted area in Argentina and the US should drive a 2024/25 surplus of 22mn tons, with the stock-to-use (StU) ratio rising 4p.p. YoY to 33%, the highest on record. Still, corn, and cotton should both have flat YoY StU ratios, while wheat should see a 1p.p. YoY decline. Ultimately, speculative funds' short positions in these commodities remains high, while future curves already factor in higher prices for all these commodities in the coming years.

Figure 43 - Soybean - StU Ratio vs. Prices (c/bu)



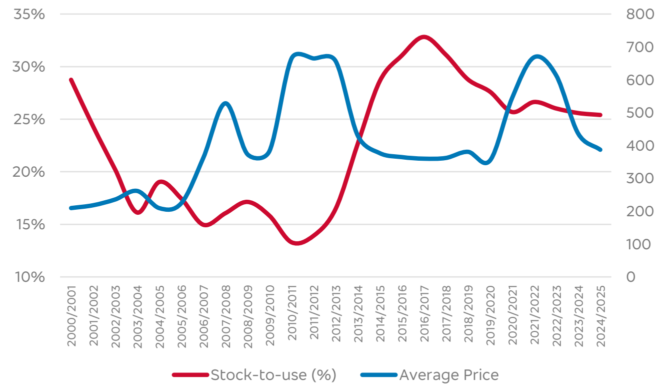
Source: Bloomberg and Bradesco BBI

Figure 44 - Soybean - Futures Curve (c/bu)



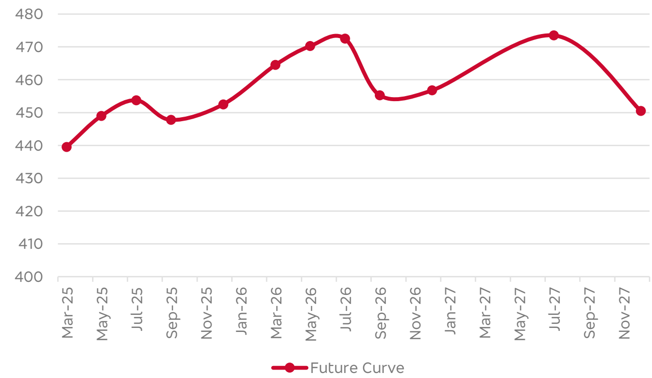
Source: Bloomberg and Bradesco BBI

Figure 45 - Corn - StU Ratio vs. Prices (c/bu)



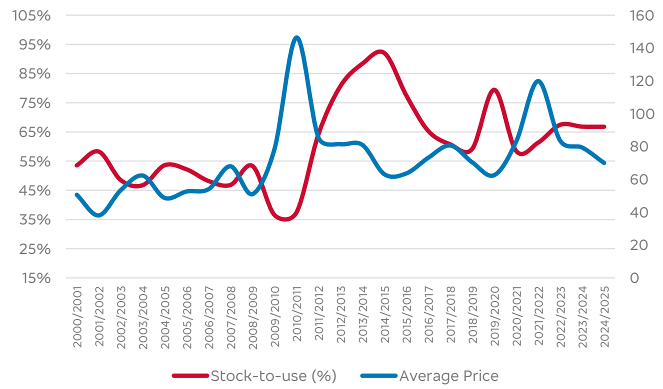
Source: Bloomberg and Bradesco BBI

Figure 46 - Corn- Futures Curve (c/bu)



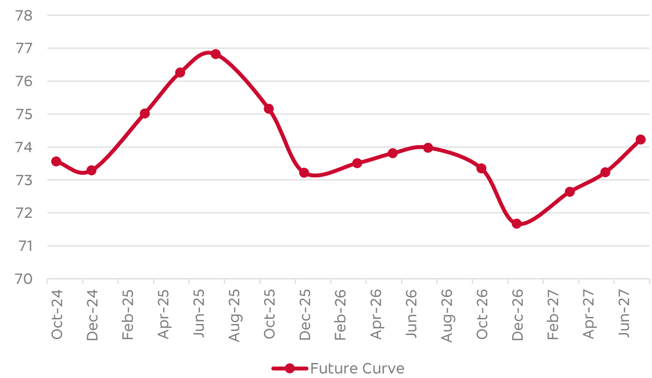
Source: Bloomberg and Bradesco BBI

Figure 47 - Cotton - StU Ratio vs. Prices (c/lb)



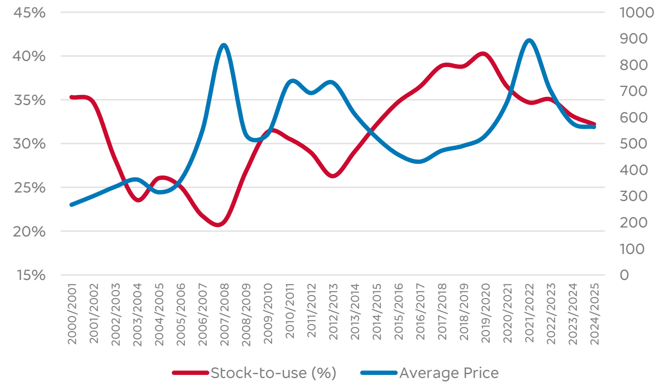
Source: Bloomberg and Bradesco BBI

Figure 48 - Cotton- Futures Curve (c/lb)



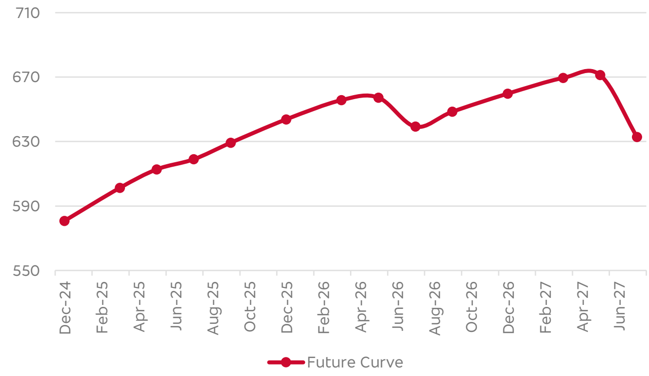
Source: Bloomberg and Bradesco BBI

Figure 49 - Wheat - StU Ratio vs. Prices (c/bu)



Source: Bloomberg and Bradesco BBI

Figure 50 - Wheat- Futures Curve (c/bu)

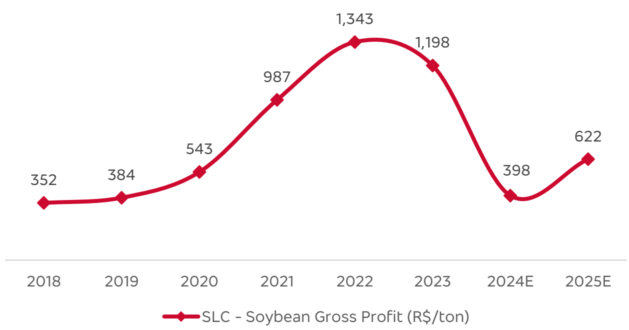


Source: Bloomberg and Bradesco BBI

2025E margins should improve despite lower prices

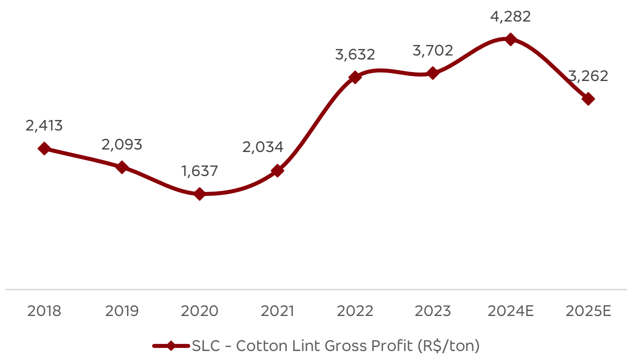
In the case of SLC, despite lower soft commodity prices in 2025, we still see results improving on the back of lower production costs. That is due to both a reduction in production costs per hectare (with an average 6% YoY contraction), especially as SLC was assertive in acquiring most of its inputs in 1H24 (96% of fertilizers, 85% of crop protection in the period), but also improved soybean yields, which struggled on the back of a troubled planting season in the 2023/24 crop. With soybean yields expected to return to the trendline, we see its unit production costs dropping by 22% YoY in the 2024/25 crop, more than offsetting 5% lower YoY realized prices. For cotton, we expect the gross margin to decline 570bps YoY in 2025 due to lower prices, but we still see SLC's consolidated EBITDA margin expanding 200bps YoY to 31.4%.

Figure 51 - Lower soybean production costs should bring some relief to profitability



Source: Company Information and Bradesco BBI

Figure 52 - But lower cotton prices should reduce gross margin in 2025

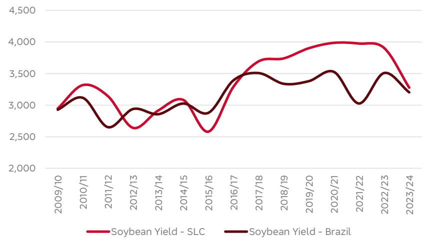


Source: Company Information and Bradesco BBI

Growth is now also a part of SLC's story

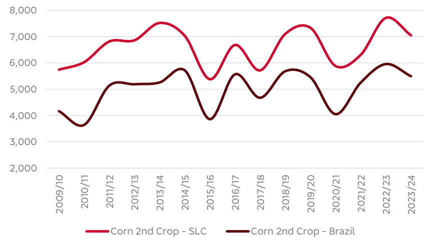
SLC has, for a while now, adopted a business model that focuses on being a low-cost producer of grains and cotton, operating mature farms in some of Brazil's most prominent agricultural states. Over the past 7 years, its soybean and second crop corn yields have been 13% and 29% above Brazil's average, while cotton yields have been only slightly above the industry (where the comparison basis is tougher).

Figure 53 - SLC vs. BZ average - Soybean yield (kg/ha)



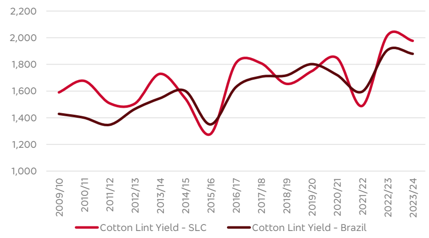
Source: Company Information, Conab and Bradesco BBI

Figure 54 - SLC vs. BZ average - Corn yield (kg/ha)



Source: Company Information, Conab and Bradesco BBI

Figure 55 - SLC vs. BZ average - Cotton yield (kg/ha)



Source: Company Information, Conab and Bradesco BBI

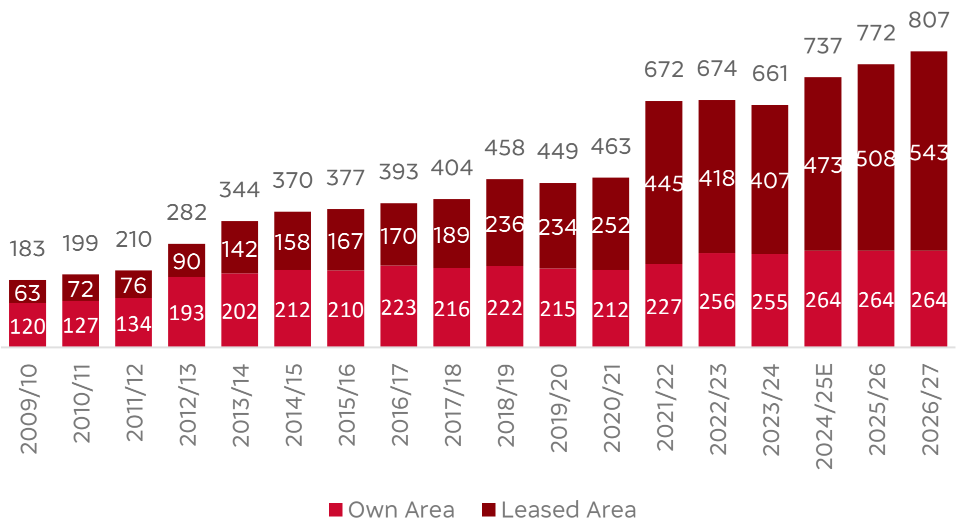
The company has been at the vanguard of technological adoption, which, over the years, we believe has allowed for growth to increasingly become part of its story. Farmlands, particularly mature ones, typically negotiate at low cap rates (low to mid-single digits), meaning that growing through land acquisition requires significant capital, while also potentially hurting returns.

In addition, given the complexity of managing farmlands in regions that are far apart, operating leverage in expanding the business to new geographies is virtually zero, and in some cases it has even been the other way around.

Thus, growth potential has historically been limited by both capital and complexity constraints, and this is what we believe SLC has been able to tackle through the (i) adoption of new technologies that allow for far more granular and real-time monitoring of crop conditions (with still more to come, particularly on the precision agriculture front), and (ii) pursuit of growth through an asset-light business model that seeks to lease new land rather than acquire it.

The company will plant 736.8k ha in the 2024/25 crop, 9% above (+62.5k ha) what it did in the 2022/23 crop, without any expected constraints in terms of the capacity to manage this increased area from both yield and cost perspectives. The 2024/25 planted area should also be 11% greater YoY (+75.5k ha), mostly driven by new leasing agreements closed either directly through SLC or through JVs, which should also contribute to results improving in the coming fiscal year.

Figure 56 - SLC should grow planted area by 75.5k ha in the 2024/25 crop year



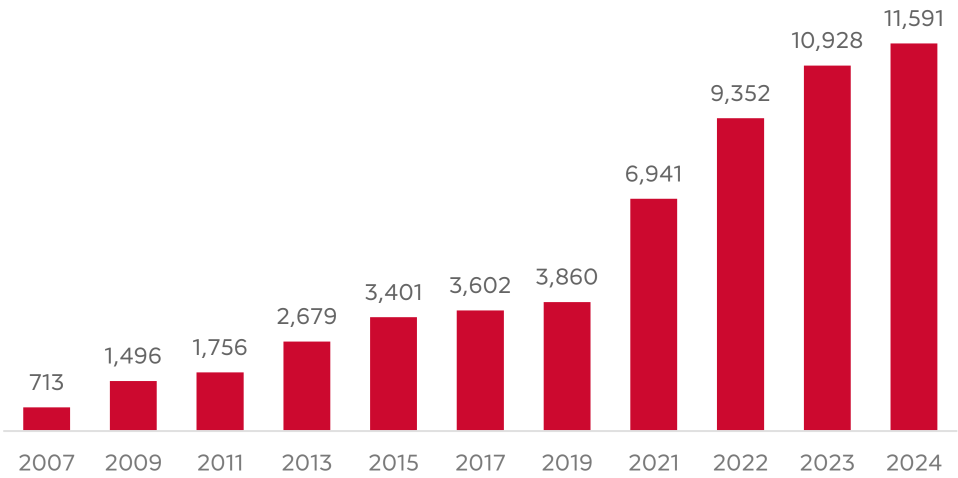
Source: Company Information and Bradesco BBI

SLC's management has been stating expectations that it should continue to able to expand its planted area on average by 30-35k ha per year. With a strong balance sheet (2025E ex-IFRS16 leverage ratio of 1.5x), and leasing costs likely falling now that farming margins have also contracted, we believe there is very much still room to deliver on that and potentially even more. We include in our estimated SLC's planted area expanding to 807k ha by the 2026/27 crop.

P/NAV has its caveats, but underscores a favorable asymmetry

Last June, SLC announced the yearly appraisal of its land portfolio, which reached R$11.6bn, +7% YoY on a per-hectare basis. We understand most of this expansion came from the company's farms in Bahia state, where land values have lagged behind other regions in previous years. With soft commodity prices and farming margins both significantly below their highs, it was somewhat surprising that the company's farms continued to increase in value as much.

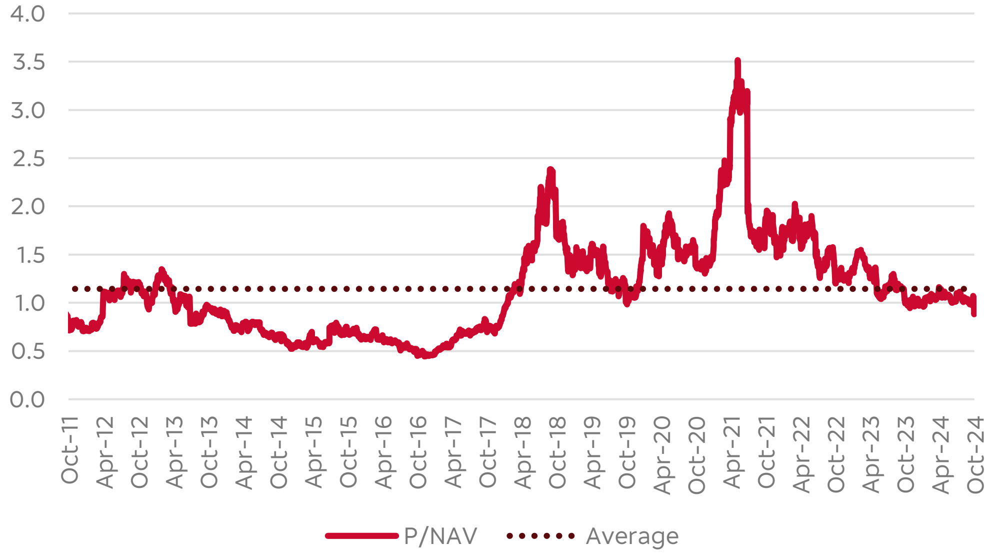
Figure 57 - SLC's land portfolio value has trippled since 2019 (R$mn)



Source: Company Information and Bradesco BBI

There are some pushbacks to these appraisals, in particular in terms of how liquidity could change over time, usually drying up during downcycles, and how prices often fail to reflect that. We also do not believe SLC is looking to monetize its farms anytime soon. But farmland appraisals have historically served as a sort of a valuation anchor for SLC, which, despite these caveats, highlights that valuations appear to be discounted. SLC is currently trading at 0.9x P/NAV, before including inventories, receivables, and biological assets, and that's despite 2/3 of the company's farming operations happening on leased lands and therefore not being accounted for in the NAV calculation (the higher net debt necessary to finance the entire farming business also plays against this P/NAV figure).

Figure 58 - SLC's P/NAV ratio has returned to below 1x

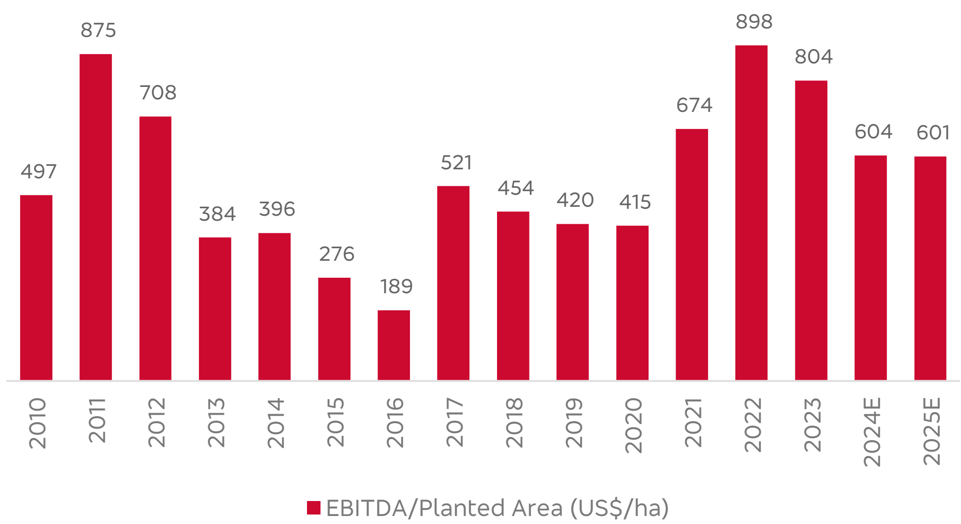


Source: Company Information, Bloomberg and Bradesco BBI

Strong long-term potential, but negative cycle to delay its materialization

We are assuming coverage of SLC with a Neutral rating and a YE25 TP of R$22/sh, implying 7.3x and 6.6x EV/EBITDA 2024 and 2025 at target, respectively. From strategic and execution standpoints, we view SLC's approach to the cycle as flawless. It has sustained a strong balance sheet (2024E ex IFRS16 leverage ratio of 1.5x) that should allow it to navigate cyclical lows without hampering its execution capacity, while also continuously expanding the planted area to capitalize in a future upcycle. Still, we believe lackluster soybean and cotton prices could limit the room for positive earnings revisions for the time being. Excluding investments in growth, we see SLC offering a 8% FCFE yield in 2025, which is quite healthy for a cycle low, but not necessarily enough to trigger stronger share price performance in the near term, in our view.

Figure 59 - The bear market for grains and cotton should continue to pressure profitability and limit positive earnings revisions



Source: Company Information and Bradesco BBI

Figure 60 - SLC - BBI vs. Consensus (R$mn)

SLCE3	2024 BBIe	2024 Street	2024 vs. Street	2025 BBIe	2025 Street	2025 vs. Street
Net Revenue	7,175	7,418	-3%	7,393	7,813	-5%
EBITDA	2,113	2,094	1%	2,324	2,475	-6%
EBITDA margin	29.4%	28.2%	1.2pp	31.4%	31.7%	-0.2pp
Net Income	902	648	39%	830	912	-9%
Net Margin	12.6%	8.7%	3.8pp	11.2%	11.7%	-0.4pp

Source: Bloomberg and Bradesco BBI

Figure 61 - SLC - Income Statement

Income Statement - R$mn	2023A	2024E	2025E	2026E
Net Revenue	**7,231**	**7,175**	**7,393**	**7,760**
COGS	-4,415	-4,906	-4,904	-5,205
Biological Assets (net)	-166	349	0	0
NRVAP	-29	142	0	0
Gross Profit	**2,621**	**2,760**	**2,490**	**2,554**
Gross Margin	*36.2%*	*38.5%*	*33.7%*	*32.9%*
SG&A	-659	-703	-712	-747
Capital Gains	-26	-0	0	0
Operating Income	**1,935**	**2,056**	**1,777**	**1,807**
Operating Margin	*26.8%*	*28.7%*	*24.0%*	*23.3%*
Net Financial Results	-711	-801	-624	-571
Pre-tax Income	**1,224**	**1,256**	**1,153**	**1,236**
Net Income	**896**	**902**	**830**	**891**
Net Income Margin	12.4%	12.6%	11.2%	11.5%
EBITDA Adj.	**2,709**	**2,113**	**2,324**	**2,381**
EBITDA Adj. Margin	37.5%	29.4%	31.4%	30.7%

Source: Company Information and Bradesco BBI

Figure 62 - SLC - Balance Sheet

Balance Sheet - R$mn	2023A	2024E	2025E	2026E
Current Assets	7,368	7,886	7,995	8,302
Long Term Assets	634	681	681	681
Fixed Assets	7,854	7,870	8,650	9,108
PP&E	4,534	5,232	5,966	6,298
Total Assets	**15,856**	**16,438**	**17,327**	**18,092**
Total Liabilities	10,614	10,908	10,966	11,214
Minorities	315	275	275	275
Shareholders' Equity	4,927	5,255	6,086	6,603
Liabilities + Equity	**15,856**	**16,438**	**17,327**	**18,092**
Total Debt (IFRS16)	7,686	7,695	7,742	7,867
Cash & Equivalents	1,615	2,238	2,344	2,344
Net Debt	**6,071**	**5,457**	**5,398**	**5,523**
Net Debt/EBITDA	2.2x	2.6x	2.3x	2.3x
Net Debt/EBITDA ex-IFRS	1.3x	1.7x	1.5x	1.4x

Source: Company Information and Bradesco BBI

São Martinho: Positive Momentum, But Mostly Priced In (N, R$32)

A benchmark in the sector...

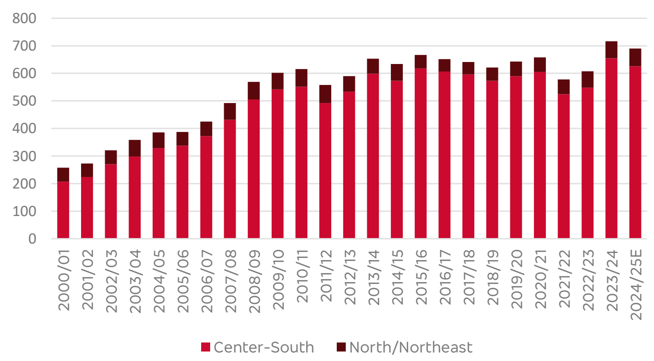
The past decade has been a tough one for Brazilian S&E players. Gasoline prices were below IPP between 2011-15 as the government sought to control inflation, which also capped ethanol prices. This, in turn, incentivized mills to maximize sugar mix (46% in the period), and given Brazil's pivotal role in global sugar supplies, particularly at that time (accounting for as much as 50% of global exports), sugar prices were also constantly under pressure.

In addition, despite Brazil's Center-South (CS) sugarcane planted area and crushing nearly tripling between 2000-2010, productivity gains that were delivered in other agricultural commodities were nowhere to be seen here – Brazil's CS sugarcane yield (measured in tons of cane per hectare, or TCH) has been flattish for over 20 years, while the country's soybean and second crop corn yields grew an accumulated 43% and 70% in the period, for instance.

Being a low-cost producer is key for any commodity business, and in the case of S&E, where the majority of production costs are fixed and mainly related to the agricultural part of the business, lower production costs almost entirely stem from sustaining high agricultural yields.

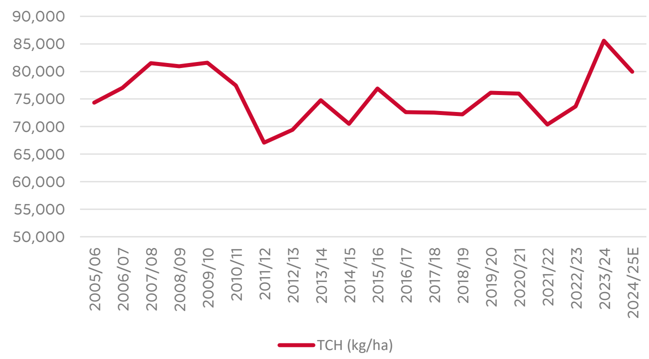
The combination of pressured sugar and ethanol prices, along with the lack of operating leverage, created a rather unfavorable environment throughout most of the previous decade. This is especially true following a massive investment cycle between 2000-10 as companies carried more leveraged balance sheets.

Figure 63 - Sugarcane crushing in BZ has been flattish for over 10 years...



Source: UNICA and Bradesco BBI

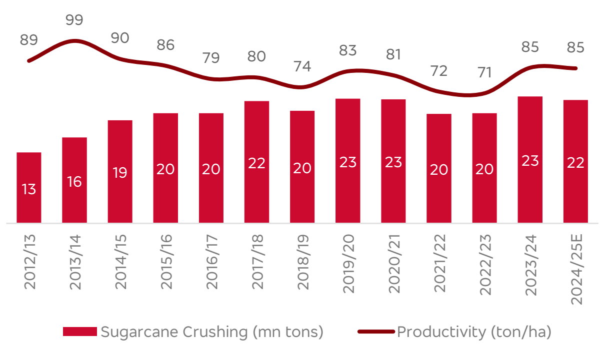
Figure 64 - ... as yields have also failed to improve



Source: Conab and Bradesco BBI

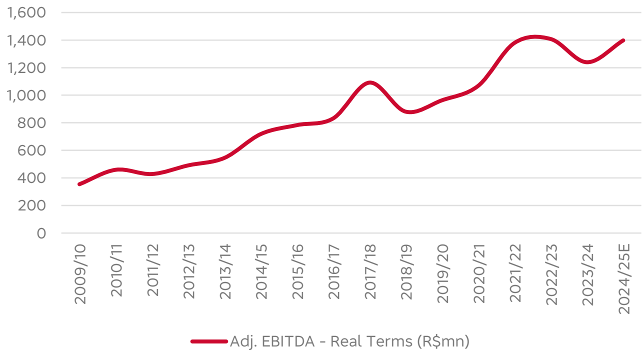
Thus, the sector went through one of its harshest stress tests, and it is amid this unfavorable environment that São Martinho underscored its position as one of the benchmark players in the Brazilian S&E industry. The company's sugarcane crushing volumes grew from 13mn tons in 2012/13 to 23mn tons in 2023/24, all while its leverage ratio was sustained on average at a rather healthy 1.5x. São Martinho's TCH was 11% above the CS average in the period, while its EBITDA grew at a 9% CAGR in real terms. Capital allocation also remained disciplined as a frenzy of M&A activity took place earlier in the decade.

Figure 65 - Differently than the sector average, over the years São Martinho was able to grow crushing volumes...



Source: Company Information and Bradesco BBI

Figure 66 - ... and financial results

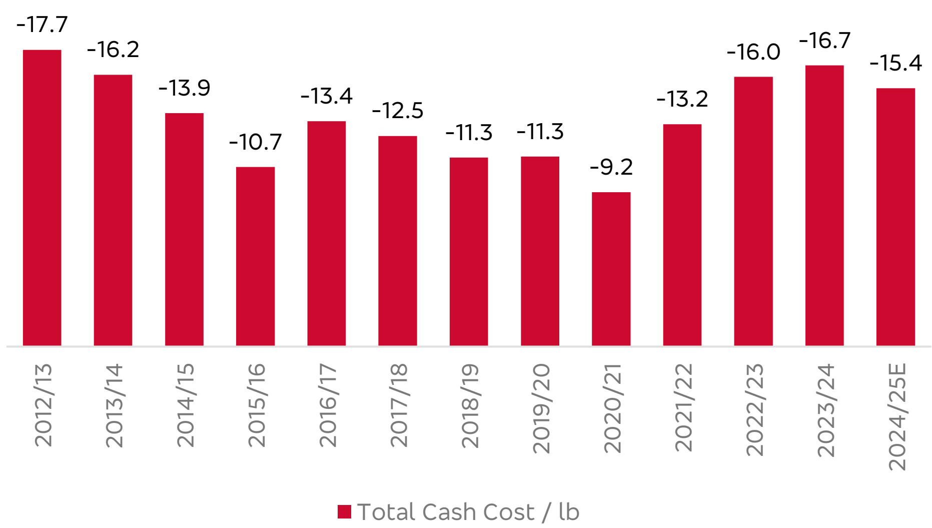


Source: Company Information and Bradesco BBI

... but S&E growth looks limited ahead

We see growth in São Martinho's core S&E business as mostly limited, due to both a lack of room (or economic incentives) to expand the planted area further, and a lack of visibility on the sector's capacity to structurally embark on a yield growth trend, thereby gradually bringing unit production costs down. São Martinho should crush 22.4mn tons in 2024/25, and we expect it to gradually expand that to 23.5mn tons, in line with management's goals. There are new cane varieties and technologies being developed that we believe bring opportunities for additional improvements over the long term, but we still do not incorporate them into our numbers.

Figure 67 - We expect a decline in unit costs in 2024/25 but we do not incorporate further productivity gains in the coming years



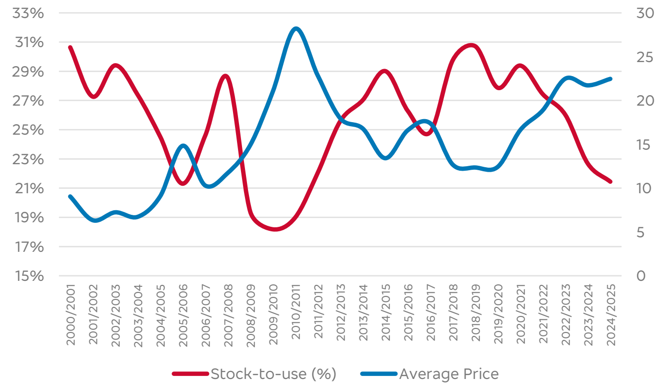
Source: Company Information and Bradesco BBI

Sugar price asymmetry is the best among soft commodities

São Martinho is the purest Brazilian S&E play, so results (and stock performance) naturally correlate with the underlying commodities. In this regard, we see better price asymmetry for sugar and ethanol than for other soft commodities. We discuss this in further detail in a following section of this report, but in summary:

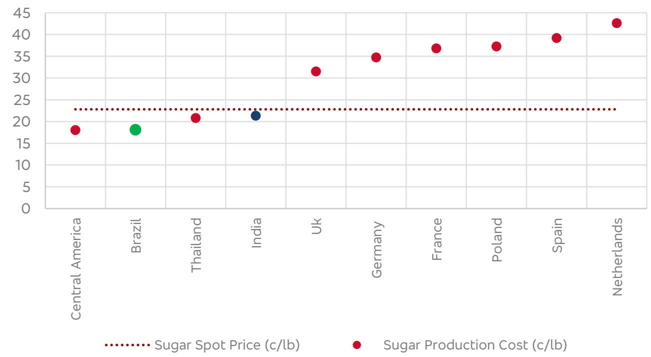
- Sugar: We see structurally-tight S-D, with: (i) Brazil no longer commanding the same capacity it did in the past to drive global surpluses, as production volumes in the country have been capped by the lack of growth in total sugarcane crushing; (ii) India has been shifting its own production mix away from sugar and into ethanol; and (iii) global demand steadily growing ~1%-2% per year (~2-3mn tons). Brazil has shown no material signs that it will increase supplies further, while the current sugar price of c22.7/lb is still roughly in line with production costs for virtually all of the other main marginal producers.

Figure 68 - Falling StU ratio should continue to sustain higher sugar prices



Source: USDA, Bloomberg and Bradesco BBI

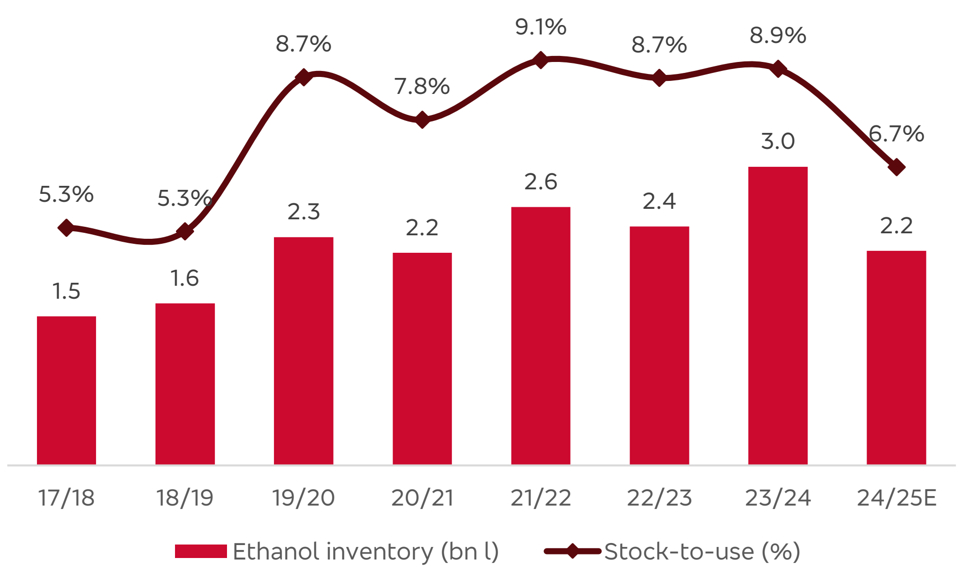
Figure 69 - Production costs suggest that the downside to prices is also limited



Source: CZ, Bloomberg and Bradesco BBI

- Ethanol: We see a positive environment for ethanol prices during the intercrop season, as tight domestic S-D (we expect the StU ratio to reach the lowest level since 2018/19) could bring prices above the 70% parity with gasoline (currently at 65% in SP) to cool off demand. Still, gasoline already at a slight premium to IPP limits the upside for the 2025/26 season, in our view.

Figure 70 - By the end of the 2024/25 season, we expect the ethanol StU ratio to reach the lowest level since 2018/19



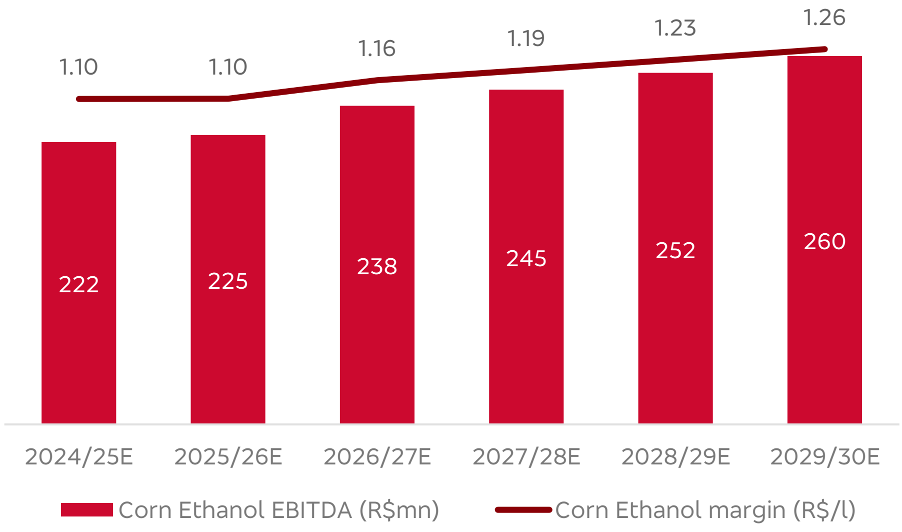
Source: MAPA, UNICA, ANP and Bradesco BBI

Corn ethanol mill gaining traction

We expect São Martinho's corn ethanol plant to significantly improve results in FY2025. Not only has the ramp-up of production capacity been concluded, but mainly, lower corn costs should start to flow through the P&L. The company's corn cost in FY2024 averaged R$75/bag and should fall to R$50/bag this year. With grain prices more stable, we estimate the DDGS cost coverage ratio to improve 10p.p. YoY to 36%, also reflecting improved industrial yields. We expect São Martinho's corn ethanol operations to contribute with EBIT of R$185mn in FY2025 (10% of total), with unit EBIT of R$0.91/l (vs. -R$0.44/l in FY2024).

Like several other S&E mills in Brazil, the marginal returns of investing in corn ethanol projects have proven greater than expanding the core sugarcane business. Lower production costs in ethanol-equivalent terms and lower invested capital are both behind it. São Martinho still has room to double production capacity in its current corn ethanol plant – a decision that management highlighted could be taken at the end of this year, and which we still do not include in our numbers.

Figure 71 - Lower corn prices should trigger an important improvement in SMTO's corn ethanol results



Source: Company Information and Bradesco BBI

Positive momentum based on commodities, but mostly factored into expectations already

We are assuming coverage of São Martinho with a Neutral rating and a YE25 TP of R$32/sh, implying 9.2x and 8.6x EV/EBIT FY2025 and FY2026 at target. We see São Martinho offering a 9% FCFE yield for FY2026, which looks solid but already embeds sugar prices 9% above the future curve at c22.5/lb. Further growth would likely have to stem from even higher commodity prices, the second phase of the corn ethanol plant (which could add ~9% to the company's EBIT), and improvement in crushing volumes beyond the 23.5mn tons that we embed in our model. Further unit cost dilution would be a plus, although we are not yet in a position to bet on that. In the near term, the possibility of sugar and ethanol rising during Brazil's CS intercrop season does leave us with a positive bias. There are also important long-term optionalities, particularly in the form of the biogas and SAF markets gaining traction, but visibility on the potential margin contribution from both also remains constrained.

Figure 72 - São Martinho - BBI vs. Consensus (R$mn)

SMTO3	2025 BBIe	2025 Street	2025 vs. Street	2026 BBIe	2026 Street	2026 vs. Street
Net Revenue	7,651	7,558	1.2%	7,932	7,694	3.1%
EBITDA	3,605	3,781	-4.7%	3,773	3,876	-2.7%
EBITDA margin	47.1%	50.0%	-2.9pp	47.6%	50.4%	-2.8pp
Net Income	875	924	-5.4%	953	1,013	-5.9%
Net Margin	11.4%	12.2%	-0.8pp	12.0%	13.2%	-1.1pp

Source: Bloomberg and Bradesco BBI

Figure 73 - São Martinho - Income Statement

Income Statement - R$mn	2024A	2025E	2026E	2027E
Net Revenue	**6,892**	**7,651**	**7,932**	**8,315**
COGS	-5,216	-5,110	-5,319	-5,611
Gross Profit	**1,675**	**2,541**	**2,613**	**2,705**
Gross Margin	*24.3%*	*33.2%*	*32.9%*	*32.5%*
SG&A	-599	-654	-666	-692
Other Operating Expenses	1,446	49	51	52
Operating Income	**2,523**	**1,936**	**1,997**	**2,065**
Operating Margin	*36.6%*	*25.3%*	*25.2%*	*24.8%*
Net Financial Results	-745	-852	-726	-613
Equity Income	8	2	0	0
Pre-tax Income	**1,787**	**1,086**	**1,270**	**1,453**
Net Income	**1,476**	**875**	**953**	**1,089**
Net Income Margin	21.4%	11.4%	12.0%	13.1%
EBITDA Adj.	**3,702**	**4,254**	**4,423**	**4,641**
EBITDA Adj. Margin	53.7%	55.6%	55.8%	55.8%
EBITDA Adj. ex IFRS-16	**3,070**	**3,605**	**3,773**	**3,959**
EBITDA Adj. Ex IFRS-16 Margin	44.5%	47.1%	47.6%	47.6%

Source: Company Information and Bradesco BBI

Figure 74 - São Martinho - Balance Sheet

Balance Sheet - R$mn	2024A	2025E	2026E	2027E
Current Assets	6,229	5,571	6,243	6,314
Long Term Assets	2,798	3,283	3,283	3,283
Fixed Assets	11,344	11,930	12,077	12,225
PP&E	455	451	451	451
Total Assets	**20,371**	**20,785**	**21,604**	**21,822**
Total Liabilities	13,509	13,627	13,712	13,775
Minorities	0	0	0	0
Shareholders' Equity	6,862	7,157	7,891	8,047
Liabilities + Equity	**20,371**	**20,785**	**21,604**	**21,822**
Total Debt (IFRS16)	9,412	9,460	9,530	9,570
Cash & Equivalents	3,254	2,552	3,173	3,173
Net Debt	**6,158**	**6,908**	**6,357**	**6,397**
Net Debt/EBITDA	1.7x	1.6x	1.4x	1.4x
Net Debt/EBITDA ex IFRS-16	1.1x	1.1x	0.9x	0.8x

Source: Company Information and Bradesco BBI

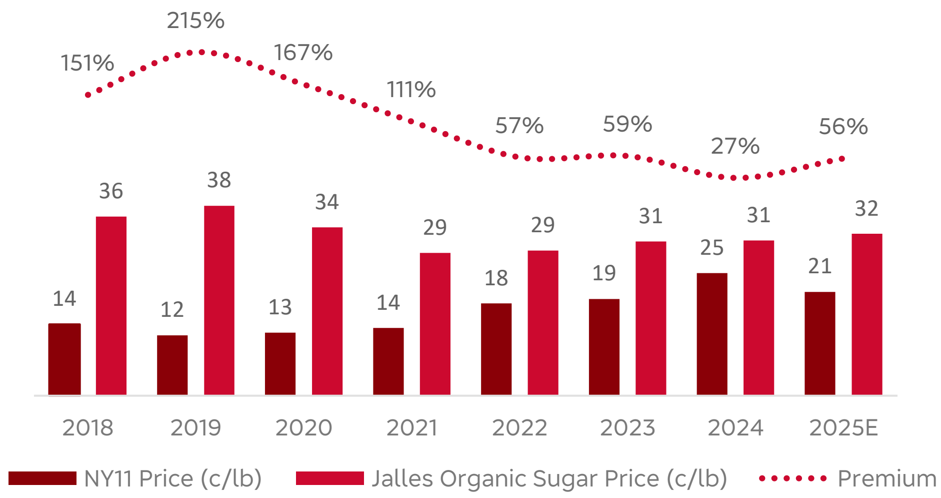
Jalles: A Turnaround Story with Promising Signs (OP, R$10)

S&E with some twists

Jalles offers exposure to the S&E sector with a few twists. Since its original operations are located in Goianésia, in northern Goiás state, the company has had to adapt to the longer distances to ship sugar to international markets (making raw sugar production far less competitive) and a pronounced dry season during the months of May-August.

Organic sugar was one of the ways through which Jalles addressed the former. Organic sugar is a niche market (representing less than 0.5% of the global sugar market), with far more complex agricultural management practices to sustain high yields, and a bureaucratic process to effectively convert the sugarcane plantation and be able to commercialize its output under the "organic" label (in some instances taking as much as 4 years). Jalles' organic sugar has historically had a 105% price premium relative to raw sugar prices, more than offsetting the logistics burden from shipping it out of the company's mills. But since this is a niche market and price contracts are frequently fixed for a whole year, the price volatility of organic sugar relative to raw sugar is also much smaller, helping the company hedge cycles' up-and-downs.

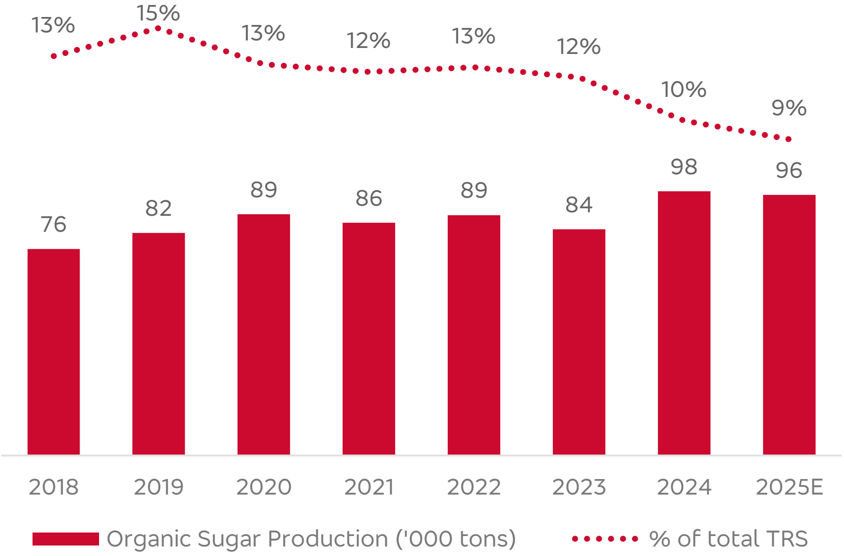
Figure 75 - Organic sugar prices present a material premium relative to raw sugar price



Source: Company Information, Bloomberg and Bradesco BBI

The company had previously planned to further expand its organic sugarcane plantation in Goianésia, but this has not yet gained traction due to recent years' supply chain constraints, which added to the cost of exporting the product, as well as the need to foster new demand hubs before bringing additional supplies to the market, thus preventing prices from suffering. As a result, we currently model for flattish organic sugar volumes going forward.

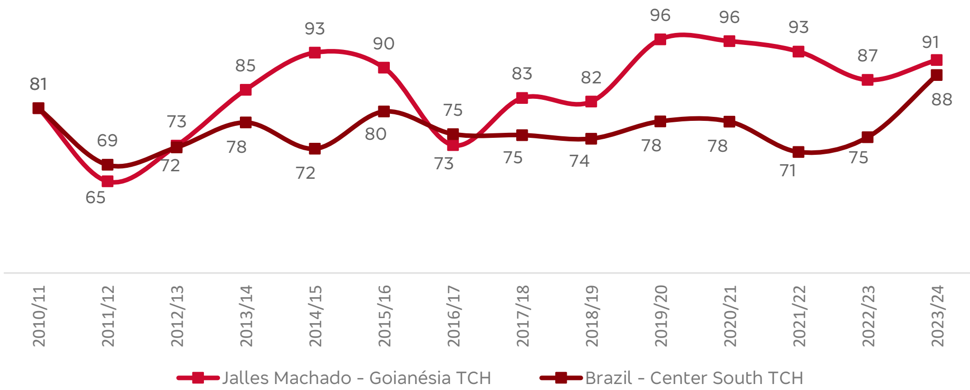
Figure 76 - Supply chain disruptions have limited Jalles' organic sugar growth



Source: Company Information and Bradesco BBI

To address the drought, Jalles has invested in irrigation, which has materially improved production yields as well as its volatility. Over the past 14 years, Jalles's TCH in the Goianésia mills was on average 11% above Brazil's CS average. In a business where being a low-cost producer mainly stems from sustaining high agricultural yields to dilute the fixed costs related to operating the land, Jalles has also been consistently among a select group of mills that successfully navigated the previous decade's stress tests. The extent to which irrigation has added to Jalles yields in a region which already has enough heat and sunlight, but not enough water supply, is one reason why it has been able to crop organic sugarcane while maintaining high TCH and low relative production costs.

Figure 77 - In its original assets, Jalles has consistently delivered yields above Brazil's average



Source: Company Information, Conab and Bradesco BBI

It is all about Santa Vitória's turnaround

Raising capital for inorganic growth was one of the reasons why Jalles decided to IPO back in 2021. For a company that had proven its execution capacity, but was approaching its peak growth potential in its original cluster, replicating the business model in a new geography seemed like a natural second step.

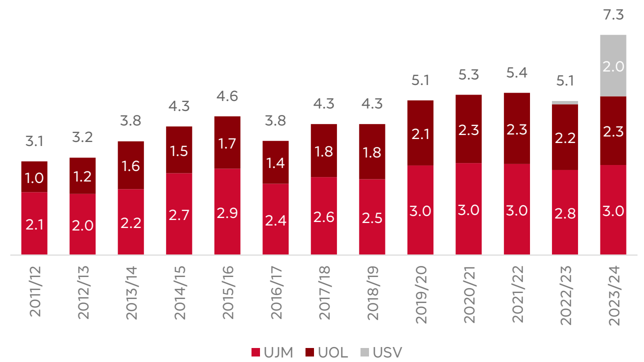
The main challenge in inorganic growth in the S&E business is that agricultural yields from the selling asset are frequently subpar, translating into higher unit production costs and lower returns. Since only ~1/6 of a sugarcane field tends to be renewed every given year, the process of improving yields takes time, and could represent a majority of the investments in the new asset, outpacing the original acquisition price.

This is where we believe Jalles is today with the Santa Vitória (SVA) mill, which the company acquired in 2022 for R$705mn. The implied entry multiple of R$371/ton of crushed cane was below Jalles' R$679/ton at the time and also lower than we estimate new greenfield projects in the space would demand. But it came with a caveat of delivering weak agricultural yields of 60.2tons/ha in the 2022/23 crop, 36% below Jalles and 19% below the CS average.

We view Jalles' equity story today as mostly about the turnaround of SVA, which should expand crushing volumes to 2.7mn tons by 2026/27 (vs. 2mn tons in 2024/25), with a TCH of 78tons/ha. This still looks low for the company's history, and the room to improve yields further potentially allows for additional growth, or at least cost dilution, to take place. Initial signs in this turnaround process have also been encouraging, with SVA yields and crushing expanding by 19% and 11%, respectively, since Jalles' acquisition.

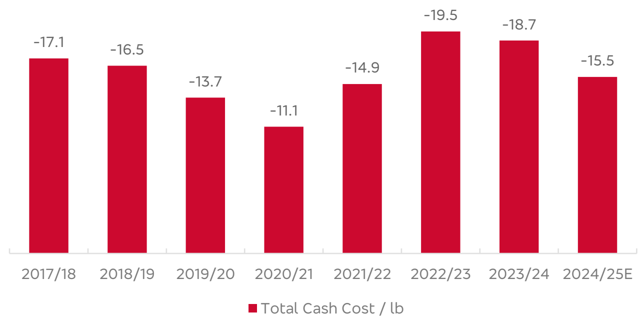
The company also has organic growth to be ramped up in its Goianésia mills, which should reach crushing of 6.3mn tons with an expected average TCH of 96.6tons/ha by 2026/27 (20% and 2%, respectively, above what Jalles delivered before its IPO). All in all, total crushing volumes should expand to 9mn tons by 2026/27, still 9% above 2024/25E. Stronger agricultural yields should also drive lower production costs and higher returns.

Figure 78 - Santa Vitoria added 2mn tons of crushing, with a potential to reach 2.7mn tons



Source: Company Information and Bradesco BBI

Figure 79 - The turnaround of SVA should result in lower unit costs ahead

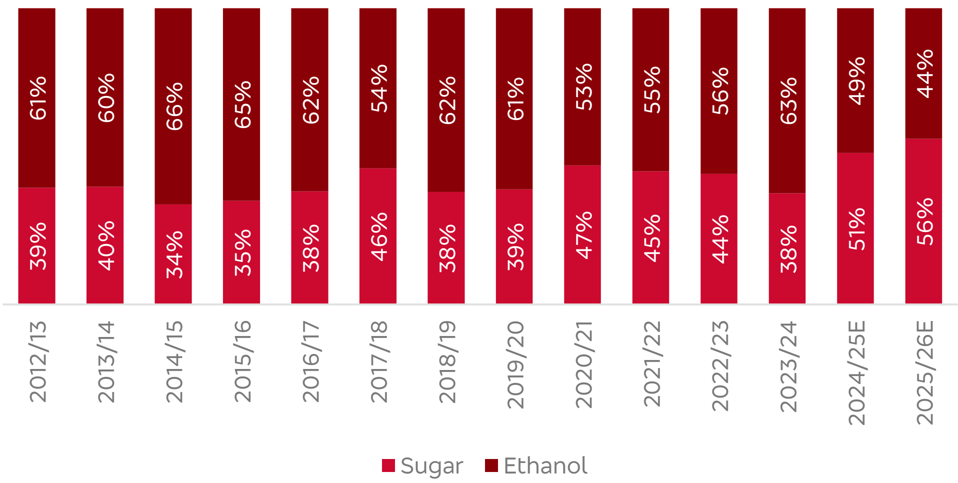


Source: Company Information and Bradesco BBI

Increased sugar mix should help ahead

Jalles has invested R$170mn in increasing its sugar production capacity, particularly in SVA, which previously only produced ethanol. With tight global S-D, over the past 4 years sugar prices have been sustained 35% above Brazil's hydrous ethanol, vs. a 20% premium in the previous 10 years. We expect this premium to persist as Brazil no longer has the same capacity to swing the global sugar trade from deficits to surpluses. We expect Jalles to operate with a sugar/ethanol mix of 56%/44% from 2025/26 onwards, vs. an estimated 37%/63% before the investment was made. Based on the spot price premium, we estimate this represents an additional revenue stream of ~R$225mn per year.

Figure 80 - Jalles should continue to increase its sugar production mix



Source: Company Information and Bradesco BBI

One of the few growth stories in the Brazilian S&E space

We are assuming coverage of Jalles with an Outperform rating and a YE25 TP of R$10/sh, implying 10.7x and 9.5x EV/EBIT FY2025 and FY2026 at target. Jalles is one of the few growth stories in the Brazilian S&E space. As the turnaround of SVA matures, we see the company delivering a FY2025-28 EBIT CAGR of 7%, which would translate into a 29% discount to SMTO based on bottom-line multiples in FY2028. There could arguably be room for even more as yields in SVA eventually improve further. We believe Jalles offers an attractive carryover as multiples contract, which should also be helped by elevated sugar prices and the company's increased sugar production mix.

Figure 81 - Jalles - BBI vs. Consensus (R$mn)

JALL3	2025			2026		
	BBIe	Street	vs. Street	BBIe	Street	vs. Street
Net Revenue	2,430	2,332	4.2%	2,588	2,472	4.7%
EBITDA	1,685	1,540	9.4%	1,777	1,619	9.7%
EBITDA margin	69.3%	66.0%	3.3pp	68.7%	65.5%	3.2pp
Net Income	138	176	-21.6%	253	288	-12.2%
Net Margin	5.7%	7.5%	-1.9pp	9.8%	11.7%	-1.9pp

Source: Company Information and Bradesco BBI

Figure 82 - Jalles - Balance Sheet

Income Statement - R$mn	2024A	2025E	2026E	2027E
Net Revenue	**1,909**	**2,430**	**2,588**	**2,777**
COGS	-1,557	-1,742	-1,797	-1,933
Change in Fair Value	181	78	0	0
Gross Profit	**533**	**767**	**791**	**843**
Gross Margin	*27.9%*	*31.5%*	*30.6%*	*30.4%*
SG&A	-172	-157	-190	-197
Operating Income	**362**	**610**	**601**	**647**
Operating Margin	*18.9%*	*25.1%*	*23.2%*	*23.3%*
Net Financial Results	-334	-469	-310	-268
Equity Income	13	24	25	26
Pre-tax Income	**41**	**166**	**316**	**405**
Net Income	**85**	**138**	**253**	**324**
Net Income Margin	4.5%	5.7%	9.8%	11.7%
EBITDA Adj.	**997**	**1,685**	**1,777**	**1,919**
EBITDA Adj. Margin	52.2%	69.3%	68.7%	69.1%

Source: Company Information and Bradesco BBI

Figure 83 - Jalles - Balance Sheet

Balance Sheet - R$mn	2024A	2025E	2026E	2027E
Current Assets	2,120	2,675	2,867	2,896
Long Term Assets	337	316	316	316
Fixed Assets	4,245	4,345	4,411	4,451
PP&E	4,155	4,249	4,316	4,356
Total Assets	**6,702**	**7,336**	**7,594**	**7,663**
Total Liabilities	4,627	5,139	5,144	5,156
Minorities	0	0	0	0
Shareholders' Equity	2,075	2,198	2,451	2,507
Liabilities + Equity	**6,702**	**7,336**	**7,594**	**7,663**
Total Debt (IFRS16)	4,016	4,405	4,405	4,405
Cash & Equivalents	1,067	1,552	1,726	1,726
Net Debt	**2,949**	**2,853**	**2,679**	**2,679**
Net Debt/EBITDA	3.9x	2.0x	1.8x	1.7x
Net Debt/EBITDA ex IFRS-16	2.1x	1.0x	0.9x	0.8x

Source: Company Information and Bradesco BBI

Grains & Cotton Outlook

Agricultural commodity prices experienced a boom between 2020 and 2022, amid a combination of multiple factors that disrupted grain S-D dynamics and led global inventories to shrink.

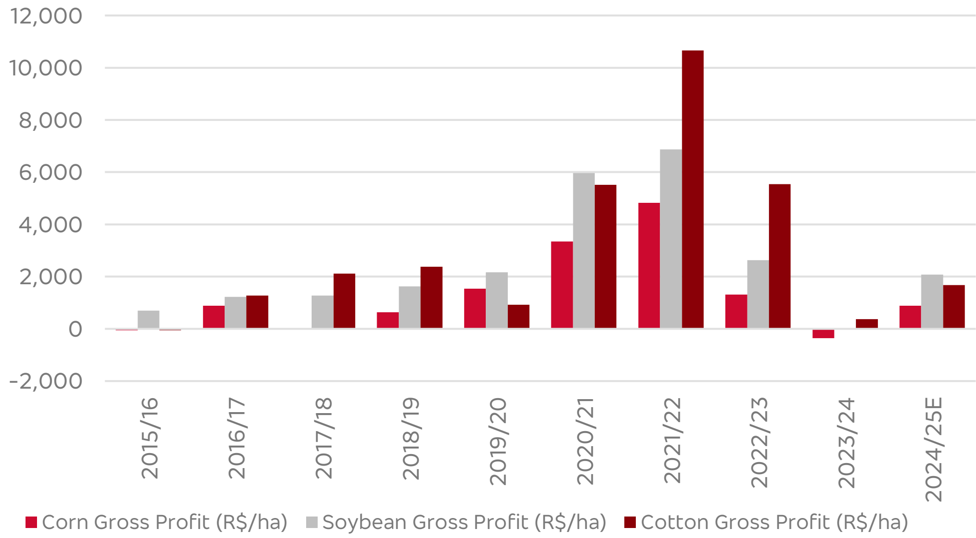
On the demand side, feeding animals for the meat industry accounts for most of the world's grain usage, and in this context, faster-than-expected rebuilding of China's pig herd, which was cut by ~40% back in 2019 after the spread of ASF, contributed to soybean and corn inventories down 17% and 6%, respectively, at the end of the 2019/20 crop.

In the case of cotton, demand is very much linked to economic activity in the US and Europe, the main consumers of the textile industry, and thus the reopening after the pandemic triggered the price runup.

Meanwhile, unfavorable climate conditions caused by sequential years of La Niña, which historically results in droughts in the Southern region of Brazil and Argentina, led to some crop failures in the period that also sustained higher grain prices.

Higher grain prices have boosted Brazilian producers' margins. Data from Brazil's Conab shows that for soybean production, margins in Mato Grosso jumped to 618 in 2021/2022, from 44% in 2018/19. In the same period, corn margins more than doubled to 61%, from 29%, while cotton margins improved to 49%, from 23%.

Figure 84 - After the recent boom, lower grains and cotton prices are now pressuring farming margins in Brazil

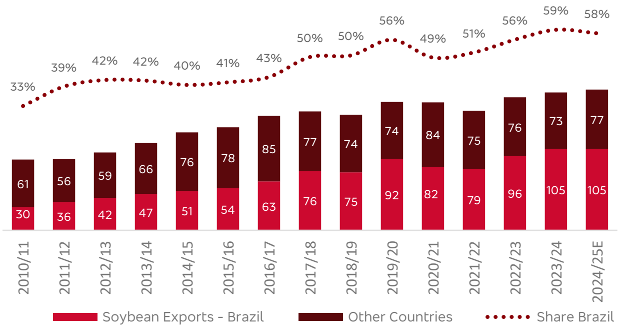


Source: Conab and Bradesco BBI

As occurs in every positive cycle, this was the incentive needed for Brazilian producers to expanded planted area, which grew at 5-year CAGRs of 6%, 5%, and 4% in the cases of soybean, corn 2nd crop, and cotton.

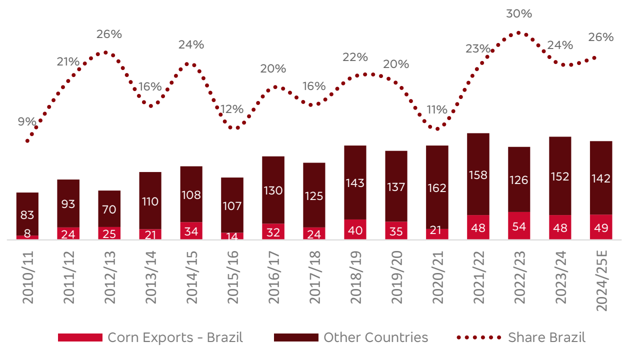
On the one hand, this strengthened Brazil's role in global trade, now accounting for 58%, 26%, and 29% of global soybean, corn, and cotton exports, and reinforced its role as the main marginal supplier of grains and cotton, as the country was responsible for 37%, 87%, and 100% of these commodities' global export growth since 2010/11.

Figure 85 - Brazil should account for 58% of global soybean exports (mn tons)...



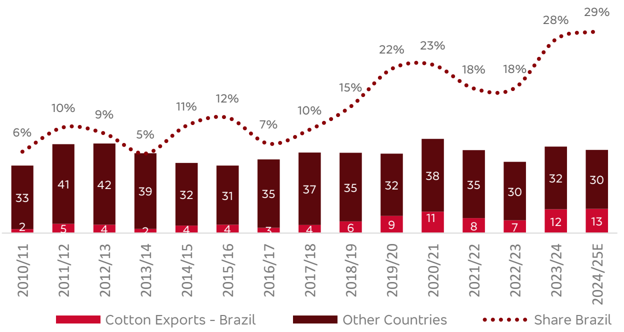
Source: USDA and Bradesco BBI

Figure 86 - ... 26% of global corn exports (mn tons)...



Source: USDA and Bradesco BBI

Figure 87 - ... and 29% of global cotton exports (mn bales)

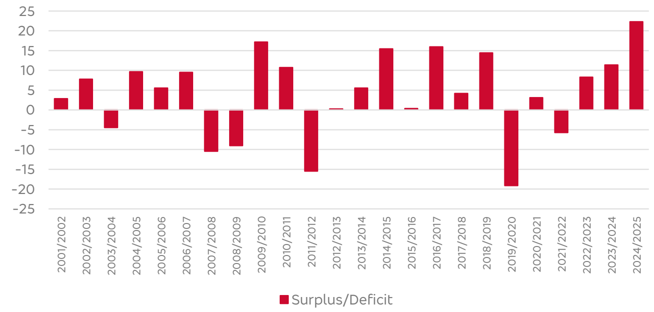


Source: USDA and Bradesco BBI

On the other hand, it also leaned into the end of the bull cycle for commodities. An important indicator of price movements in the agricultural sector is the Stock-to-Use (StU) ratio, which shows how much of grain consumption in the year can be met by using only global inventories. In other words, the higher the StU, the lower grain prices tend to be.

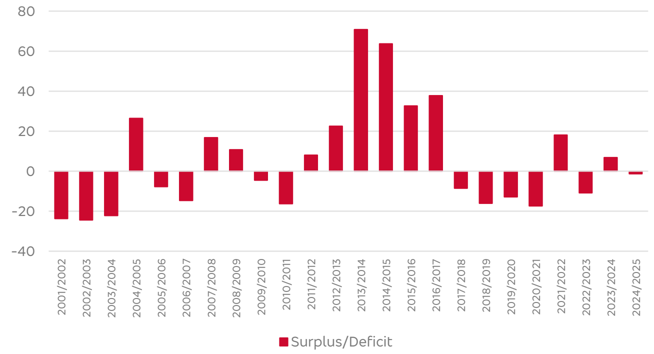
With China's pig herd peaking in 2022 and record soybean and corn production in the 2022/23 crop year, soybean StU has climbed for 2 years on a row and is forecasted to continue to rise in 2024/25, while the outlook for corn StU is stable. In the case of cotton, strong production forecasts for both Brazil and the US, combined with undermined demand caused by higher interest rates globally, should also maintain StU at relatively high levels.

Figure 88 - USDA is forecasting a 22mn tons surpluss for soybeans in 2024/25...



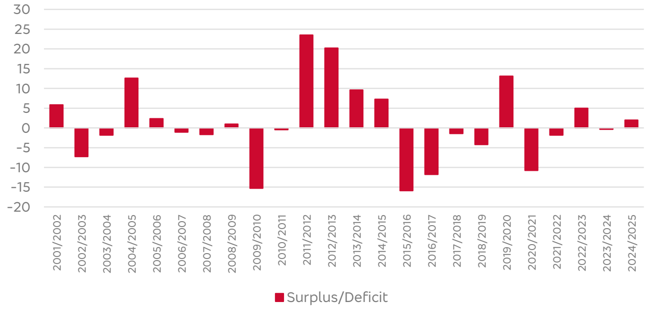
Source: USDA and Bradesco BBI

Figure 89 - ... a small deficit in the case of corn (-1mn ton)...



Source: USDA and Bradesco BBI

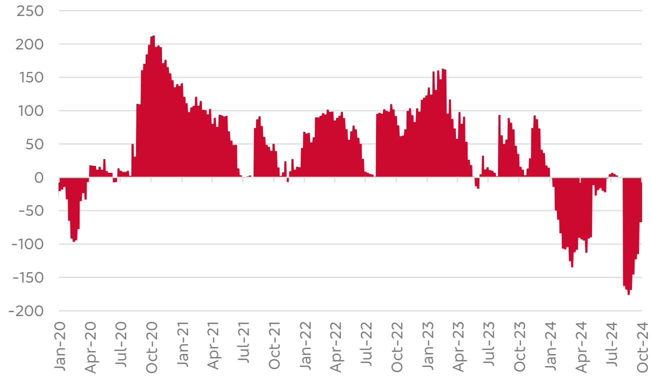
Figure 90 - ... and a slight cotton surplus (2mn bales)



Source: Conab and Bradesco BBI

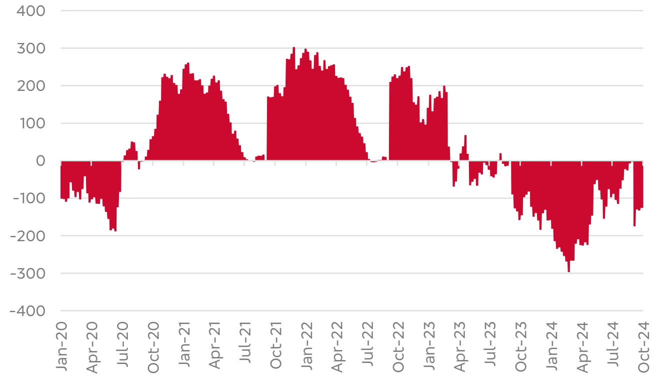
But additional downside to prices may also be limited. Ultimately, speculative funds' short positions in these commodities remains high, while future curves already factor in higher prices for all of them in the coming years.

Figure 91 - Soybeans spec funds position



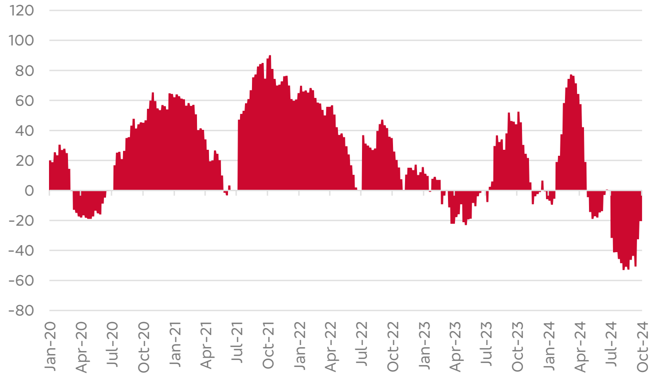
Source: Bloomberg and Bradesco BBI

Figure 92 - Corn spec funds position



Source: Bloomberg and Bradesco BBI

Figure 93 - Cotton spec funds position

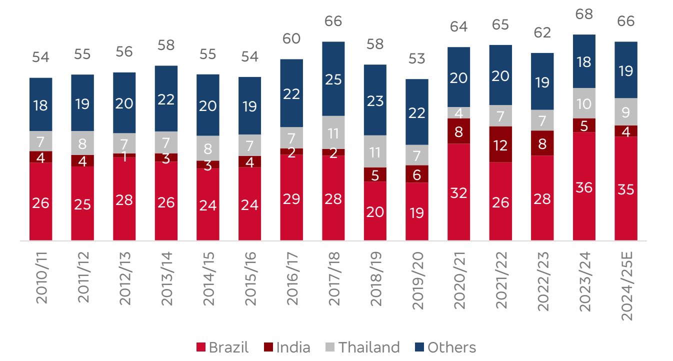


Source: Bloomberg and Bradesco BBI

Sugar Outlook

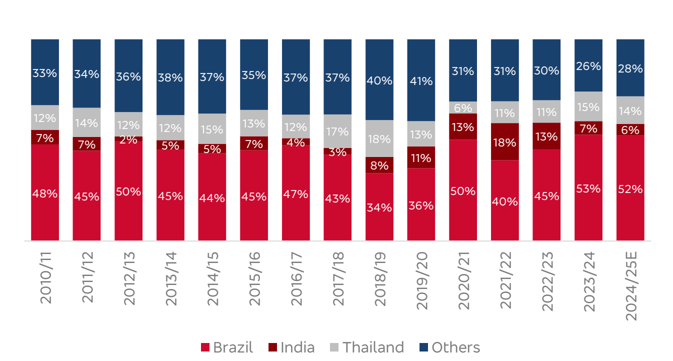
In a market where only ~35% of total production is globally traded, understanding the dynamics of Brazil and India, which together accounted for 53% of total sugar exports since 2010, is key to forecast how prices should behave.

Figure 94 - Global sugar exports should decline in 2024/25 (mn tons)



Source: USDA and Bradesco BBI

Figure 95 - With limited upside coming from Brazil and India (% total exports)



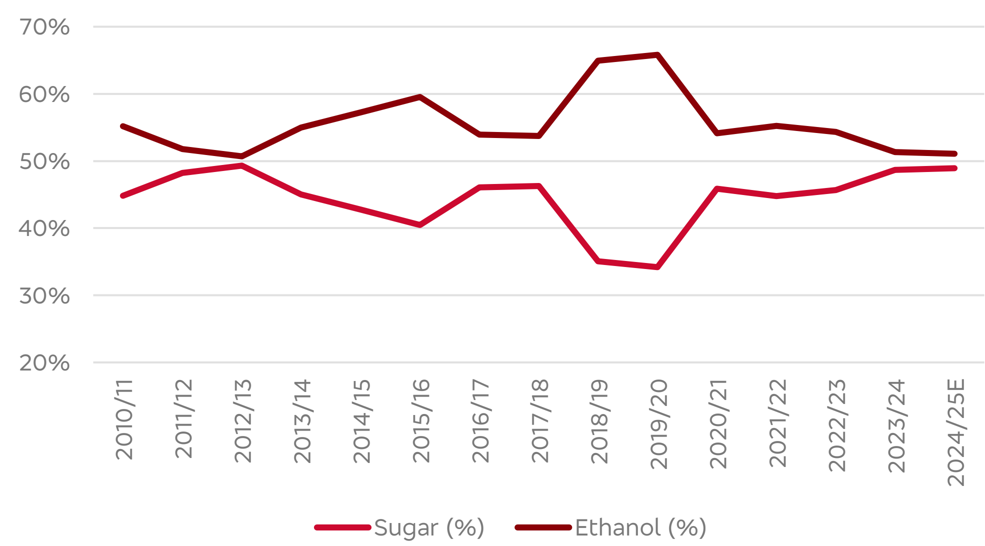
Source: USDA and Bradesco BBI

In Brazil, unfavorable government policies, tight profitability, and competition with grains and other agricultural commodities have limited sugarcane planted area growth, which has remained virtually stable in the last decade. Therefore, the sugar vs. ethanol production mix in the country would be the main driver for additional sugar supply.

In the past 2 years, the Brazilian domestic market has struggled with high ethanol inventory levels that drove down prices to below energy parity relative to gasoline. At the same time, droughts in key markets such as India and Thailand boosted sugar prices in the international market, making it more attractive for Brazilian mills to maximize the sugar production mix.

Thus, investments were made to potentially increase sugar mix in the 2024/25 crop year to an expected 52% of total production, from 49% in the 2023/24 crop year. Still, data from UNICA shows that the 2024/25 sugar mix has fallen short of expectations, currently standing at 49%.

Figure 96 - Brazil's sugar mix in the 2024/25 crop is currently below 50%



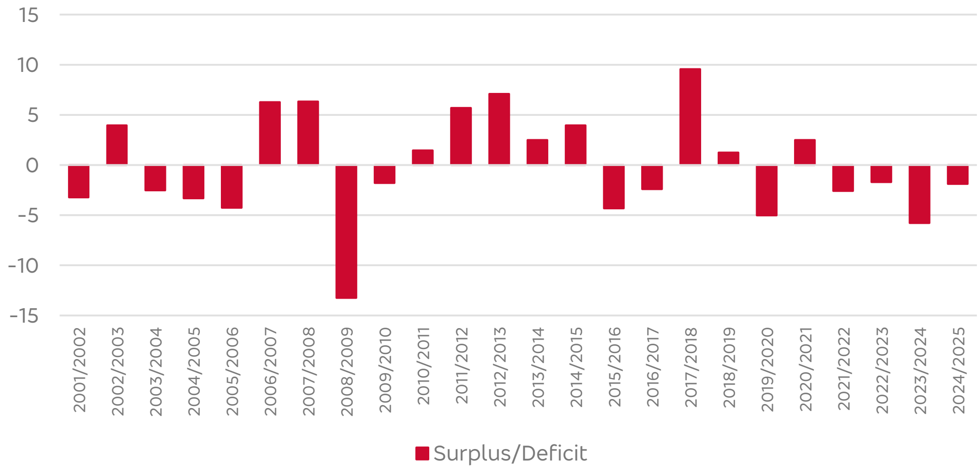
Source: UNICA and Bradesco BBI

The extended crushing period last year was pointed as one of the main reasons for that, as lower sugarcane quality hampered the capacity to convert TRS into sugar in the case of the late-crushed sugarcane. In addition, fires in recent weeks in Brazil's Center-South region should also force producers to allocate more sugarcane to ethanol production. All of this to say that there is not much room for Brazil to bring additional sugar supply to the market.

India, for its part, has consistently increased the share of ethanol blending in gasoline in recent years. In 2023, average ethanol blending was set at 10% (E10), by May 2024 the mix reached 15% (E15), and now the Indian government has set a nationwide target of E20 fuel by 2025. The boost in ethanol demand coming from the E20 fuel program is quite likely to continue capping India's sugar exports in the years ahead.

This tight scenario for global sugar should lead to a 1.9mn tons deficit in the 2024/25 crop, already following 3 consecutive years of deficits. This should bring the Stock-to-Use (StU) ratio to the lowest level since the 2010/11 crop, which in our view may continue to support prices. The future curve points to lower sugar prices from March 2025 onwards (~c20/lb), which we believe may prove conservative. Given what we view as a structurally-tight S-D, and production costs in many countries that remain above the c22/lb mark, we believe the price downside from current levels may be limited to secure that additional supplies gradually come to market.

Figure 97 - A 2mn ton sugar deficit expected in 2024/25



Source: USDA and Bradesco BBI

Ethanol Outlook

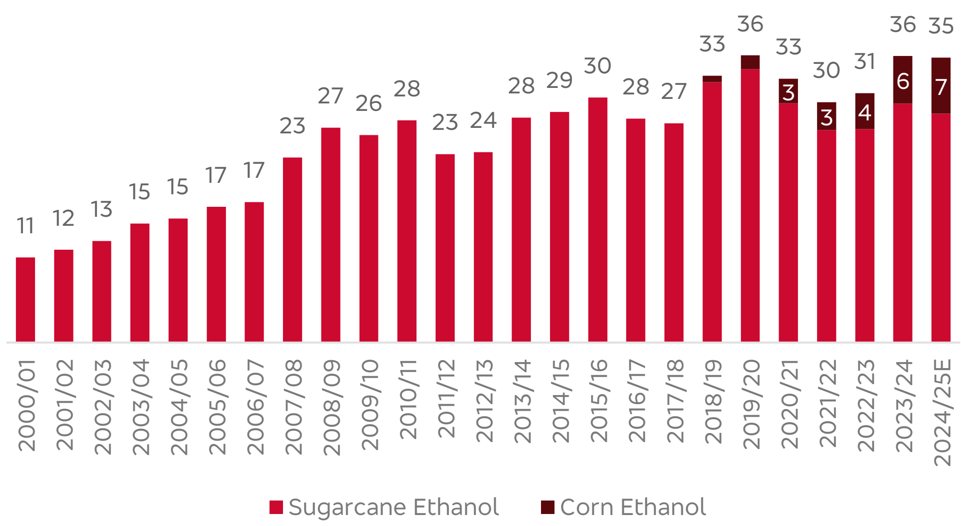
Brazil is the largest producer of sugarcane-based ethanol, reflecting a long history of government incentives dating back to the 1970's to reduce the country's dependence on oil by stimulating local production of ethanol-fueled vehicles. This movement gained momentum in the early 2000's with flex-fuel vehicles hitting the market and boosting demand for ethanol. In response to growing demand, sugarcane-based ethanol production in Brazil tripled from 2000/01 to 2019/20.

From then onwards, as previously mentioned, sugarcane planted area in Brazil has stagnated, and recent year's sugar price premium has actually led mills to maximize sugar mix at the expense of ethanol.

So incremental ethanol supplies to the Brazilian market have actually been coming from corn. Corn ethanol in Brazil went from small production of ~790mn liters in 2018/19 (2% of total) to 5.9bn liters in 2023/24 (17% of total). For 2024/25, volumes should reach 6.9bn liters, growing 17% YoY and already representing 20% of Brazil's total ethanol supply, while consuming 18% of the country's 2nd corn crop. With corn ethanol boasting lower production costs (estimated 26%+ below sugarcane-based ethanol in the 2024/25 season), and lower invested capital (this is an industrial business rather than a farming business), we expect corn ethanol to continue to drive growth in the coming years, with new projects already announced, including 3tentos' new plant in Mato Grosso state.

Still, ethanol supply in the 2024/25 season should be virtually flat YoY, as lower sugarcane-based ethanol production (mainly due to lower yields) should offset greater volumes coming from corn. Based on the current ethanol demand of 2.7bn liters/month, we forecast inventory at the end of the crop year dropping to 2.bn liters, from 9bn currently. Hydrous ethanol prices in São Paulo state currently stand at a 65% parity with gasoline, but we believe they could rise to above the 70% parity during the inter-crop period to cool off demand. For the 2025/26 season, though, we believe gasoline already at a slight premium to IPP could limit further upside.

Figure 98 - Corn ethanol should continue to drive industry growth (bn liters)



Source: Conab and Bradesco BBI

Fuel of the Future

On Sept. 11 the Brazilian Lower House approved the final text of the so-called "Fuel of the Future" bill, an initiative to promote decarbonization of the fuel sector and create a legal framework for carbon capture and storage in the country. The bill is still waiting to be signed into law, and although we do not incorporate the implications of this program, there are some important optionalities arising from it for biofuel producers São Martinho, Jalles, and 3Tentos.

1) **Ethanol blending in gasoline.** The bill sets mandatory anhydrous ethanol blending in gasoline in the 22%-35% range, vs. 18%-27.5% prior. The blending currently stands at 27%. In a sensitivity analysis, increasing the mix to the maximum 35% allowed would

imply additional ethanol demand of 3.5bn liters per year (as a reference, corn ethanol has accounted for an additional supply of ~1bn liters per year recently).

2) **Biodiesel blending in diesel.** The bill sets a minimum of 13% and a maximum of 20% blending of biodiesel in diesel sold to final consumers, in addition to non-mandatory targets for this mix that range from 15% by March 2025 to 20% by March 2030. The CNPE will have full control of the targets and is entitled to increase the minimum blend should technical viability be proven. In our view, this should improve visibility on biodiesel demand, with upside for soybean crushing demand (and, possibly, margins) coming from the expected increase in the targets throughout the next 5 years.
3) **Sustainable aviation fuel (SAF).** Perhaps the boldest goal here included, the bill requires airlines operating domestic flights to use sustainable aviation fuel (SAF), which may use ethanol in its composition, at a minimum of 1% of total fuel consumption by 2027, reaching 10% by 2037. Considering that this is a very incipient market, the CNPE can, at any time, change the minimum amount set by this bill.
4) **Biomethane.** Starting in Jan. 2026, the CNPE will establish a target for reducing greenhouse gas emissions in the biogas industry, which should be achieved through the adoption of biomethane. The initial target is set at 1% and could not exceed a 10% reduction. We acknowledge that this should stimulate the biomethane market and benefit companies that are starting to invest in the sector, such as São Martinho and Jalles.

Analyst Certification

Henrique Brustolin was responsible for the preparation and content of this report hereby certifies, pursuant to SEC Regulation Analyst Certification and applicable laws and regulations of other jurisdictions, that:

(i) the views expressed herein accurately and exclusively reflect their personal views and opinions about the issuer(s) and its or their securities;

(ii) no part of their compensation was, is, or will be paid directly or indirectly, related to the specific recommendation or views expressed by that analyst in this report;

And pursuant to Brazilian securities exchange commission (Comissão de Valores Mobiliários – CVM) Resolution N° 20:

(i) the recommendations indicated in this report solely and exclusively reflect their personal opinions, and were prepared independently and autonomously, including in relation to Bradesco Group and its affiliates;

(ii) their compensation is based on the profitability of Ágora CTVM and its affiliates, which includes investment banking revenues;

Important Disclosures

Company-Specific Disclosures

- Ágora CTVM, Bradesco BBI and Bradesco Group companies have relevant financial and commercial interests in relation to all subject companies or the subject securities;
- Bradesco BBI participated as coordinator in the public offering of equity and/or debt securities and/or provided any other type of service for the following companies within the past 12 months mentioned in this report: Boa Safra
- Ágora CTVM participated in the public offering of equity and/or debentures for the following companies within the past 12 months: Boa Safra and Jalles Machado;

US - Company-Specific Regulatory Disclosures

- Bradesco BBI, Ágora CTVM and/or its affiliates have received compensation for investment banking services from the subject company(ies) in the twelve months preceding the date of publication of the research report and/or expects to receive or intends to seek compensation for investment banking services from the subject company(ies) in the three months following the date of this report.
- Bradesco BBI and/or its affiliates have managed or co-managed a public or Rule 144A offering of Boa Safra securities in the twelve months preceding the date of this report

Research ratings distribution

Rating	Definition	Coverage[1]	BR[2]
OUTPERFORM	Expected to outperform the analyst coverage list	52.8%	16.8%
NEUTRAL	Expected to perform in the range of the analyst coverage list	43.9%	13.8%
UNDERPERFORM	Expected to underperform the analyst coverage list	3.3%	0.0%

(1) Percentage of companies under coverage globally within this rating category.
As of 2024Bradesco BBI ©# had 246 companies under coverage globally.
(2) Percentage of companies within this rating category for which
[investment banking] services were provided within the past 12 months

Our ratings

Our ratings are constantly revised and any temporary inconsistencies between the upside potential that gave rise to any such rating and the upside potential in connection with the target price are at all times deliberate. The official rating shall prevail.

Any differences between the rating and the target price may occur especially due to the analyst's expectations to the effect that any short/medium term factors that cannot be priced-in yet might lead to inconsistencies between our valuation and the stock behavior. The factors considered include, but are not limited to: Any expectations in connection with quarterly results, market conditions, ownership issues and any expectations involving mergers and acquisitions. The ratings reflect only the analyst's expectation on the future performance of the relevant stock. An "Outperform" rating does not necessarily represent that the analyst approves of the company and its management whilst an "Underperform" rating does not necessarily means that the analyst has a negative view on the company. Within our coverage universe there are sound companies, with good fundamentals as per the market consensus, and fair priced stock, and would not be our investment pick.

Additional Disclosures

With the exception of investment company funds, our analysts are prohibited to own securities of their respective area of coverage to analysts as well as to the associates reporting to the analysts. Analysts are paid in part based on the profitability of Ágora CTVM and its affiliates, which includes investment banking revenues. Our policy prohibits its analysts and associates reporting to the analysts from serving as an officer or director, advisory board member or employee of any company in the analysts' area of coverage.

The following disclosures are required under or based on the laws of the jurisdiction indicated, except to the extent already made above with respect to United States laws and regulations. Brazil: This report is distributed in Brazil by Ágora CTVM. Any investor in Brazil who receives this report and wishes to conduct transactions with stocks analyzed herein should contact and request execution of orders through Ágora CTVM at its official contacts

United Kingdom and European Economic Area: In the United Kingdom and elsewhere in the European Economic Area, this report may be made or communicated by Bradesco Securities UK Limited ("Bradesco UK"). Bradesco UK is authorized and regulated by the Financial Services Authority and its registered office is at: 20-22 Bedford Row, London, WC1R 4JS. This report is for distribution only to persons who:

- are persons that are eligible counterparties and professional clients of Bradesco UK;
- have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Financial Promotion Order");

- are persons falling within Article 49 (2) (a) to (d) ("high net worth companies, unincorporated associations etc") of the Financial Promotion Order;
- are outside the United Kingdom, or
- are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000) in connection with the issue or sale of any securities to which this report relates may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as "relevant persons").

This report is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this report relates is available only to relevant persons and will be engaged in only with relevant persons. No public offer of any securities to which this report relates is being made by Bradesco UK or Ágora CTVM in the United Kingdom or elsewhere in the European Economic Area.

United States: If not mentioned above on "Bradesco Securities Representative" disclosure, the research members that have prepared and reviewed this research report are not associated persons of Bradesco Securities. They are not registered or qualified as research analysts with FINRA and are not subject to the rules of the FINRA, including FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account. Such analysts have the obligation to be in compliance with similar Brazilian legislation and internal policies.

Any U.S. person wishing to effect transactions in securities discussed in this report must do so through Bradesco Securities, Inc., a U.S. broker-dealer.

Hong Kong: In Hong Kong, this report may be distributed by Bradesco Securities Hong Kong Limited (“Bradesco HK”). Bradesco HK is licensed by the Securities and Future Commission (“SFC”) to carry on Type 1 and Type 4 regulated activities as defined in the Securities and Future Ordinance (Cap. 571 of the Laws of Hong Kong) (“SFO”) in Hong Kong, subject to conditions published on the website of the SFC from time to time. Except for Bradesco HK, none of its affiliates, including Ágora CTVM, carry out or is licensed/authorized to carry out any regulated activities as defined in the SFO in Hong Kong and each of these affiliates is prohibited from carrying on any regulated activities, including but not limited to dealing in securities and advising in securities (as defined in the SFO), in Hong Kong. This report is directed to you by Bradesco HK based on your interest and preference in the relevant underlying securities that you have previously communicated to Bradesco HK. You agree that this report is not intended for the promotion of any services or products of any of Bradesco HK’s affiliates in Bradesco group, including those of Ágora CTVM. All Hong Kong recipients of this report wishing to effect transactions in securities discussed should contact and place orders through Bradesco HK at (852) 22518716 or (852) 22518718. This report is intended for distribution only to non-Hong Kong residents or professional investors as defined in the SFO. It is provided solely for informational purposes and do not constitute an offer to buy or sell or a solicitation of an offer to buy or sell any security, product, service or investment to the public within the meaning of the Companies Ordinance (Cap. 32 of the Laws of Hong Kong) or to professional investors within the meaning of the SFO. It has not been reviewed by the SFC or any regulatory authority in Hong Kong.

Other Countries: This report, and the securities discussed herein, may not be eligible for distribution or sale in all countries or to certain categories of investors. In general, this report may be distributed only to professional and institutional investors.

Price target and rating history

Price target, rating history chart(s), valuation/method used to determine price target, and our policy for managing conflicts of interest in connection with investment research are available upon request. You may obtain this information by contacting your representative.

General Disclosures

1) Bradesco BBI © is trademark owned by Banco Bradesco S.A. The analysts responsbible for this report are part of Ágora CTVM, a Bradesco's Group company.
2) This report has been prepared solely by Ágora CTVM and is being provided exclusively for informational purposes. The information, opinions, estimates and projections constitute the judgment of the author as of the current date and are subject to modifications without prior notice. Ágora CTVM has no obligation to update, modify or amend this report and inform the reader accordingly, except when terminating coverage of the issuer of the securities discussed in this report.
3) This report, including the estimates and calculations of Ágora CTVM, is based on publicly available information that it consider reliable, but it do not represent it is accurate or complete, and should not be relied upon as such.
4) This report is not an offer or a solicitation for the purchase or sale of any financial instrument. It is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of any specific person who may receive this report. Investors should seek financial advice regarding the appropriateness of investing in any securities, other investment or investment strategies discussed or recommended in this report and should understand that statements regarding future prospects may not be realized.
5) Investors should note that income from securities or other investments, if any, referred to in this report may fluctuate and that price or value of such securities and investments may rise or fall. Accordingly, investors may receive back less than originally invested. Past performance is not necessarily a guide to future performance. Ágora CTVM and its affiliates do not accept responsibility for any direct or indirect loss arising due to use of this report. Investors should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. Exchange rate movements could have adverse effects on the value or price of, or income derived from, certain investments.

6) Ágora CTVM's and its affiliates' salespeople, traders and other professionals may provide oral or written market commentary or trading strategies to their clients and their proprietary trading desks that reflect opinions that are contrary to the opinion expressed in this report. Such market commentary or trading strategies reflect the different time frames, assumptions, views and analytical methods of the persons who prepared them, and Ágora CTVM and its affiliates are under no obligation to ensure that such market commentary or trading strategies are brought to the attention of any recipient of this report.
7) From time to time, Ágora CTVM or its affiliates and officers, directors and employees, not including its analysts may, to the extent permitted by law, hold long or short positions, or otherwise be interested in transactions in assets directly or indirectly related to this report.
8) Non-US research analysts who have prepared this report are not registered or qualified as research analysts with FINRA but instead have satisfied the registration and qualification requirements or other research-related standards of a non-US jurisdiction.

Any additional information may be obtained by contacting your representative.